

Hiscox Business Insurance
Your policy wording



Hiscox Business Insurance

Policy wording

Guide to sections

Introduction

Policy wordings

General terms and conditions

Professional indemnity for technology companies

Cyber and data

Crisis containment

Hiscox Business Insurance

Policy wording

Introduction

Thank you for choosing Hiscox to protect your business. We hope that the language and layout of this policy wording are clear because we want you to understand the insurance we provide as well as the responsibilities we have to each other. Please read this document, including the policy schedule, policy summary and statement of fact, and let us know as soon as possible if any of the details are shown incorrectly.

We always try to deliver to the highest standards of service. Your views are important to us, so if you feel that our service is below the standard you would expect from Hiscox, please contact us on the phone number shown in your policy schedule.

Please note that some of the words we use in this insurance are shown in bold type. These words are defined in each section of the wording.

Professional insurance portfolio

Policy wording

A seamless integrated insurance solution for professionals.

Please read this policy wording, together with any **endorsements** and **your** schedule, very carefully and keep them in a safe place. If anything is incorrect or changes, please notify **us** immediately.

This wording is fully protected by the laws of copyright. No unauthorised use or reproduction is permitted.

Our promise to you

In return for the premium **you** have paid, **we** agree to insure **you** in accordance with the terms and conditions of the **policy**.



Anish Jadav

Executive Director, Hiscox Underwriting Ltd
Chief Underwriting Officer, Hiscox UK

Complaints procedure

Hiscox aims to ensure that all aspects of **your** insurance are dealt with promptly, efficiently and fairly. At all times Hiscox are committed to providing **you** with the highest standard of service. If **you** have any concerns about **your policy** or **you** are dissatisfied about the handling of a claim and wish to complain **you** should, in the first instance, contact Hiscox Customer Relations in writing at:

Hiscox Customer Relations
The Hiscox Building
Peasholme Green
York YO1 7PR
United Kingdom

or by telephone on +44 (0)800 116 4627 or +44 (0)1904 681 198
or by email at customer.relations@hiscox.com

Where **you** are not satisfied with the final response from Hiscox, **you** also have the right to refer **your** complaint to the Financial Ombudsman Service to review **your** case. This does not affect **your** legal rights.

Address:
Financial Ombudsman Service
Exchange Tower

London E14 9SR

Telephone: 0800 023 4567 or +44 20 7964 0500 from outside the United Kingdom

Email: complaint.info@financial-ombudsman.org.uk

Website: www.financial-ombudsman.org.uk

If **you** contact them or **us**, please quote the policy number shown in **your** schedule.

General terms and conditions

General definitions	We use some words throughout this policy with the same meaning wherever they appear. These are shown in bold type and we explain what they mean below. Any other definitions when used in particular sections of the policy are shown in bold and have the same meaning whenever they appear in that section. We explain what they mean in the 'Special definitions' section of that part of the policy.
Artificial intelligence	Any machine learning, logical, statistical or other algorithm in computer or digital technology that can: 1. perform tasks or generate outputs, including but not limited to, actions, content, decisions, predictions or recommendations; or 2. adapt or vary its operation proactively, or in response to inputs.
Asbestos risks	1. The mining, processing, manufacturing, use, testing, ownership, sale or removal of asbestos, asbestos fibres or material containing asbestos; or 2. exposure to asbestos, asbestos fibres or materials containing asbestos; or 3. the provision of instructions, recommendations, notices, warnings, supervision or advice given, or which should have been given, in connection with asbestos, asbestos fibres or structures or materials containing asbestos.
Business	Your business or profession as shown in your schedule.
Civil commotion	Where 12 or more persons are present together, whether in a public or private place, with a common purpose (which may be inferred from conduct): 1. to use, or threaten to use, physical force to inflict personal injury on any person or to damage property; or 2. which causes a person of reasonable firmness, had such person been present at the scene, to fear for their safety. For the purposes of this definition, no person of reasonable firmness need actually be, or be likely to be, present at the scene.
Communicable disease	Any communicable, infectious or contagious disease, including any related variation, strain, virus, complex or syndrome.
Computer or digital technology	Any programs, computer network, hardware, software, operational technology, internet-connected device, network-connected device, electronic device, information technology, communications system, including but not limited to any internet-of-things devices, email system, intranet, extranet, website or cloud computing services.
Computer or digital technology error	Any negligent act, error or omission by anyone in the: 1. creation, handling, entry, modification or maintenance of; or 2. on-going operation, maintenance (including but not limited to installation, upgrading or patching) or development of, any computer or digital technology.
Confiscation	Confiscation, nationalisation, requisition, expropriation, deprivation, destruction of or damage to property by or under the order of any government or public or local authority.
Cyber attack	Any digital attack or interference, whether by a hacker or otherwise, attempting or resulting in: 1. access to; 2. extraction of information from; 3. disruption of access to or the operation of; or 4. damage to: any data or computer or digital technology, including but not limited to any: a. programs designed to damage, disrupt, extract data from, or gain access to any data or computer or digital technology including, but not limited to, malware, wipers, worms, trojans, rootkits, spyware, dishonest adware, crimeware, ransomware, crypto-jacking and other malicious software or viruses; or b. denial of service attack or distributed denial of service attack.

Endorsement	A change to the terms of the policy .
Excess	The amount you must bear as the first part of each agreed claim or loss.
Geographical limits	The geographical area shown in your schedule.
Hacker	Any artificial intelligence , entity or person, including any employee of yours , who gains or attempts to gain unauthorised access to or use of any: 1. computer or digital technology; or 2. data held electronically by you or on your behalf.
Nuclear risks	1. Any sort of nuclear material, nuclear reaction, nuclear radiation or radioactive contamination; 2. any products or services which include, involve or relate in any way to anything in 1. above, or the storage, handling or disposal of anything in 1. above; 3. all operations carried out on any site or premises on which anything in 1. or 2. above is located.
Period of insurance	The time for which this policy is in force as shown in your schedule.
Personal data	Any information about an individually identifiable natural person, including any information that identifies, relates to, describes, is reasonably capable of being associated with, or could reasonably be linked, directly or indirectly, with a particular individual, including but not limited to any information protected by the Data Protection Act 2018, General Data Protection Regulation (EU) 2016/679, or any related, similar or successor legislation or regulation in any jurisdiction.
Policy	This insurance document and your schedule, including any endorsements .
Program(s)	Code or instructions which tell computer or digital technology how to process data or interact with ancillary equipment, systems or devices.
Social engineering communication	Any request directed to you or someone on your behalf by any artificial intelligence , entity or person improperly seeking to obtain possession or the transfer to a third-party of virtual currency, money, securities, data or property to which such third-party is not entitled.
Solar weather	Solar flares, solar eruptions or bursts including plasma bubbles or ejections, magnetic field or magnetosphere fluctuations or disruptions.
Terrorism	An act, or the threat of an act, by any person or group of persons, whether acting alone or on behalf of or in connection with any organisation or government, that: 1. is committed for political, religious, ideological, racial or similar purposes; and 2. is intended to influence any government or an international governmental organisation or to put the public, or any section of the public, in fear; and a. involves violence against one or more persons; or b. involves damage to property; or c. endangers life other than that of the person committing the action; or d. creates a risk to health or safety of the public or a section of the public; or e. is designed to interfere with or to disrupt an electronic system.
War	War (whether declared or not), invasion, act of foreign enemies, hostilities, civil war, rebellion, revolution, insurrection, military or usurped power.
We/us/our	The insurers named in your schedule.
You/your	The insured named in the schedule.
General conditions	The following conditions apply to the whole of this policy . Any other conditions are shown in the section to which they apply.
Presentation of the risk	1. In agreeing to insure you and in setting the terms and premium, we have relied on the information you have given us. You must provide a fair presentation of the risk and must take care when answering any questions we ask by ensuring that all information provided is true, accurate and complete. A fair presentation is one which clearly discloses in a reasonably clear and accessible manner all material facts which you (including your senior management and those responsible for arranging this insurance) know or ought to know following a reasonable search.

If you fail to make a fair presentation	2. a. If we establish that you deliberately or recklessly failed to present the risk to us fairly, we may treat this policy as if it never existed and refuse to make any payment under it. You must reimburse all payments already made by us and we will be entitled to retain all premiums paid. b. If we establish that you failed to present the risk to us fairly but that your failure was not deliberate or reckless, the remedy we will have available to us will depend upon what we would have done had you made a fair presentation of the risk, as follows: i. if we would not have provided this policy, we may treat it as if it never existed and refuse to make any payment under it. You must reimburse all payments already made by us. We will refund any premiums you have paid; or ii. if we would have provided this policy on different terms (other than as to premium), we will treat it as if it had been provided on such different terms from the start of the period of insurance. This may result in us making no payment for a particular claim or loss. You must reimburse any payment made by us that we would not have paid if such terms had been in effect.
Change of circumstances	3. You must tell us as soon as reasonably possible of any change in circumstances during the period of insurance which may materially affect this policy (a material fact or circumstance is one which might affect our decision to provide insurance or the conditions of that insurance). We may then change the terms and conditions of this policy or cancel it in accordance with the cancellation condition.
If you fail to notify us of a change of circumstances	4. a. If we establish that you deliberately or recklessly failed to: i. notify us of a change of circumstances which may materially affect the policy; or ii. comply with the obligation in 1. above to make a fair presentation of the risk to us when providing us with information in relation to a change of circumstances; we may treat this policy as if it no longer existed from the date of such change of circumstances and refuse to make any payment under it in respect of any claim made or any loss occurring after that date. You must reimburse all payments already made by us relating to claims made or losses occurring after such date. We will be entitled to retain all premiums paid. b. If we establish that you failed to notify us of a change of circumstances or to make a fair presentation of the risk to us when providing us with information in relation to a change of circumstances, but that your failure was not deliberate or reckless, the remedy we will have available to us will depend upon what we would have done had you fairly presented the change of circumstances to us, as follows: i. if we would have cancelled this policy, we may treat it as cancelled from the date that such cancellation would have been effective and refuse to make any payment under it in respect of any claim made or any incident occurring after that date. You must reimburse any payments already made by us relating to claims made or losses occurring after such date. We will refund any premiums you have paid in respect of any period after the date when cancellation would have been effective; or ii. if we would have provided this policy on different terms (other than as to premium), we will treat it as if it had been provided on such different terms from the date when your circumstances changed. This may result in us making no payment for a particular claim or loss.
Reasonable precautions	5. You must take reasonable steps to prevent accident or injury and to protect your property against loss or damage. You must keep any property insured under this policy in good condition and repair. We will not make any payment under this policy in respect of any incident occurring whilst you are not in compliance with this condition unless you can demonstrate that such non-compliance could not have increased the risk of the loss, damage, accident or injury occurring in the circumstances in which it occurred.
Premium payment	6. We will not make any payment under this policy until you have paid the premium.
Cancellation	7. You or we can cancel the policy by giving 30 days' written notice. We will give you a pro-rata refund of the premium for the remaining portion of the period of insurance after the effective date of cancellation for which you have already paid. However, we will not refund any premium: a. under £20; or b. if we have accepted any notification of any claim, potential claim or loss before the cancellation takes effect.

If **we** have agreed that **you** can pay **us** the premium by instalments and **we** have not received an instalment 14 days after the due date, **we** may cancel the **policy**. In this event, the **period of insurance** will equate to the period for which premium instalments have been paid to **us**. **We** will confirm the cancellation and amended **period of insurance** to **you** in writing.

Multiple insureds	8. The most we will pay is the relevant amount shown in your schedule. If more than one insured is named in your schedule, the total amount we will pay will not exceed the amount we would be liable to pay to any one of you. You agree that the insured named in your schedule, or if there is more than one insured named in your schedule the first of them, is authorised to receive all notices and agree any amendments to the policy.
Aggregate limit	9. Where a section of this policy specifies an aggregate limit, this means our maximum payment for all relevant claims or losses covered under that section of your policy during the period of insurance.
Rights of third parties	10. You and we are the only parties to this policy. Nothing in this policy is intended to give any person any right to enforce any term of this policy which that person would not have had but for the Contracts (Rights of Third Parties) Act 1999.
Other insurance	11. We will not make any payment under this policy where you would be entitled to be paid under any other insurance if this policy did not exist except in respect of any amount in excess of the amount that would have been payable under such other insurance had this policy not been effected. If such other insurance is provided by us the most we will pay under this policy will be reduced by the amount payable under such other insurance.
Cover under multiple sections	12. Where you, including anyone within the meaning of 'you' or 'insured person' in any section of the policy, are entitled to cover under more than one section of the policy in respect of the same claim or loss, or any part of a claim or loss, we shall only provide cover under one section of the policy, being the section that provides the most advantageous cover to you or the party entitled to cover.
Governing law	13. Unless some other law is agreed in writing, this policy will be governed by the laws of England.
Arbitration	14. Any dispute arising out of or relating to this insurance, including over its construction, application and validity, will be referred to a single arbitrator in accordance with the Arbitration Act then in force.
Non-admitted	15. This policy is negotiated and made in the United Kingdom between you and us. We are authorised to conduct insurance business in the United Kingdom and in certain other jurisdictions. You acknowledge that no solicitation for the policy has been made by us outside of the United Kingdom, that unless otherwise agreed in writing the policy is subject to English Law and jurisdiction and that claims are payable in the United Kingdom. You acknowledge that any applicable local taxes outside of the United Kingdom, Channel Islands, Isle of Man, Gibraltar, the European Economic Area, or other jurisdiction in which we have informed you that we are authorised to conduct insurance business, will be paid by you directly to the appropriate authority.
Several liability	16. This clause applies if more than one insurer and/or a Lloyd's syndicate is party to this policy. The liability of an insurer or syndicate under this policy is several and not joint with any other insurers or syndicates party to this policy. An insurer is liable only for the proportion of liability it has underwritten. We will provide you, on request, with details of the insurers/syndicates who are party to this policy and the proportions of liability they have underwritten.
Sanctions	17. We shall not be deemed to provide cover and shall not be liable to pay any claim or loss or provide any benefit under this policy to the extent that the provision of such cover, payment of such claim or loss or provision of such benefit would expose us, or would in our reasonable view give rise to any appreciable risk of exposing us, to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom, United States of America, or of any other relevant jurisdiction.

General claims conditions	The following claims conditions apply to the whole of this policy . You must also comply with the conditions shown in each section of the policy under the heading Your obligations .
Your obligations	1. We will not make any payment under this policy unless you: a. give us prompt notice of anything which is likely to give rise to a claim under this policy in accordance with the terms of each section; and b. give us, at your expense, any information which we may reasonably require and co-operate fully in the investigation of any claim under this policy. 2. You must: a. make every reasonable effort to minimise any loss, damage or liability and take appropriate emergency measures immediately if they are required to reduce any claim; and b. give us all assistance which we may reasonably require to pursue recovery of amounts we may become legally liable to pay under this policy, in your name but at our expense. If you fail to do so, you shall be liable to us for an amount equal to the detriment we have suffered as a result of your failure to comply with this obligation, which we may deduct from any payment we make under this policy.
Fraud	3. If you or anyone entitled to cover in respect of any claim or loss, or anyone on behalf of you or such other person, tries to deceive us by deliberately giving us false information or making a fraudulent claim under this policy then: a. we shall be entitled to give you notice of termination of the policy with effect from the date of any fraudulent act or claim or the provision of such false information; b. we shall be entitled to refuse to make any payment under the policy in respect of any claim made or any loss occurring after the date of any fraudulent act or claim or the provision of such false information; c. you must reimburse all payments already made by us relating to claims made or losses occurring after the date of any fraudulent act or claim or the provision of such false information; and d. we shall be entitled to retain all premiums paid. This does not affect your rights in relation to any claim made or loss occurring before the date of any fraudulent act or claim or the provision of such false information. 4. Where this policy provides cover for any individual who, or entity that, is not a party to the policy, and where such an individual or entity (or anyone on their behalf) tries to deceive us by deliberately giving us false information or making a fraudulent claim under this policy, our rights set out in 3. above apply only to any individual or entity that gave the false information or made the fraudulent claim.

General exclusions	The exclusions set out below apply to each and every section of this policy and shall not be varied by any other provision in this policy. Where the exclusions below are not consistent with any other provision in this policy, these exclusions apply and shall override the inconsistent provision. In addition, other exclusions apply to this policy and these are included in the particular sections of the policy to which they apply. 1. We will not make any payment for any damage, loss, cost, expense or claim directly or indirectly caused by, contributed to by, resulting from or in connection with: a. solar weather; b. any fear or threat of 1.a.; or c. any action taken in controlling, preventing, suppressing, responding or in any way relating to 1.a.
---------------------------	--

Professional indemnity for technology companies

Policy wording

The General terms and conditions and the following terms and conditions all apply to this section. **Your** schedule will state whether **your policy** includes this section.

Cover under this section is given on an each and every claim or loss basis unless **your** schedule or the special limits in **How much we will pay** below state that the limit of indemnity applies in the aggregate. Please check **your** schedule and **your** policy wording carefully. **Your** schedule will also state whether defence costs are included within the limit of indemnity.

Special definitions for this section

Additional insured	For the purposes of this section only, an additional insured means a client who contractually requires you to note them as an additional insured under your policy .
Advertising or branding	Advertising, branding, including your company name, trading name and any web domain name, publicity, or promotion in or of those of your products or services that expressly fall within your business activity , including online.
AI agents	A text, video or audio based interface which autonomously uses artificial intelligence to proactively carry out tasks requested by a user or other system.
Applicable courts	The courts of competent jurisdiction in those countries stated as the applicable courts in your schedule.
Business activity(ies)	The activity(ies) stated in your schedule, which you perform in the course of your business .
Claim	Any written assertion of liability, any written demand for financial compensation, or any written demand for injunctive relief first made against you within the applicable courts .
Client	Any person or entity with whom you have engaged or contracted to provide services or deliverables that expressly fall within your business activity .
Defence costs	All reasonable and necessary lawyers' and experts' fees and legal costs incurred with our prior written agreement in investigating, settling, defending, appealing or defending an appeal against a covered claim but not including any overhead costs, general business expenses, salaries, or wages incurred by you or any other person or entity entitled to coverage under this section.
Employee	An individual performing employment duties solely on your behalf in the ordinary course of your business activity and who is subject to your sole control and direction and to whom you supply the instruments and place of work necessary to perform such business activity . You and your sub-contractors and outsourcers will not be treated as employees under this section.
Generative AI	Artificial intelligence which relies upon an algorithm or mathematical model to identify patterns from existing data input in order to generate new output in the form of text, audio, video, images, code or other data.
Green technology	Any computer or digital technology that is specifically designed to minimise environmental impact, promote sustainability or conserve natural resources.
Liquidated damages	A sum of money, or mechanism for calculating such sum, agreed between you and your client by contract as the amount payable by you in the event of a specified breach of such contract provided that, at the time the sum or mechanism was agreed, it represented a fair and reasonable estimate of your client's loss in the event of your breach of contract.
Loss	Any financial harm caused to your business .
Overseas support staff or entity	An individual or entity domiciled outside of the United Kingdom who performs a business activity on your behalf under your direction and control.
Pollution	Any pollution or contamination, including noise, electromagnetic fields, radiation and radio waves.
Potential claim	Anything likely to lead to a claim covered under this section.

Retroactive date	The date stated as the retroactive date in your schedule. For any subsidiary acquired during the period of insurance the retroactive date will be the date of acquisition.
Subsidiary(ies)	An entity domiciled in the United Kingdom : 1. that was identified in your proposal for this policy and of which you own more than 50% of the book value of the assets or of the outstanding voting rights as of the first day of the period of insurance; or 2. which you acquire during the period of insurance, provided that the acquired entity's business activity is the same as yours.
United Kingdom	The United Kingdom of Great Britain and Northern Ireland together with the Channel Islands, the Isle of Man and Gibraltar.
You/your	Also includes: 1. any person who was, is or during the period of insurance becomes your partner, director, trustee, in-house counsel or senior manager in actual control of your operations; and 2. any subsidiary including any person who was, is or during the period of insurance becomes the partner, director, trustee or in-house counsel of any subsidiary or any senior manager in actual control of its operations.

What is covered

Claims against you

A.

Claims brought by your client

If during the **period of insurance**, and as a result of **your business activity** for **clients** on or after the **retroactive date** within the **geographical limits**, **your client** brings a **claim** against **you** for any actual or alleged:

Breach of contract and liquidated damages

1. breach of any contract between **you** and **your client**, including any service level agreement forming part of such contract, or any **claim** for **liquidated damages**;

Artificial intelligence liability

2. act, error or omission by **you** in respect of:
 - a. the delivery of a **business activity** where this involves **your** use of **artificial intelligence**, including **generative AI** and **AI agents**;
 - b. **your** reliance upon text, audio, video, images, code or other data generated by or output by **generative AI** operated or accessed by **you**;
 - c. **your** input of text, audio, video, image, code or other data into a **generative AI** system operated or accessed by **you**;
 - d. the failure of any **artificial intelligence** designed by **you**; or
 - e. advice provided by **you** in respect of the benefits or limitations of utilising a form of **artificial intelligence** for the purposes of a specific **client's** business;

Network security liability

3. act, error or omission by **you** which directly causes, or is alleged to have caused, a vulnerability which has resulted in:
 - a. a **cyber attack**; or
 - b. a **hacker**;

affecting **computer or digital technology** or **green technology** that is:

 - i. owned, operated and controlled by **your client**; or
 - ii. owned, operated and controlled by **you**, but which **your client** accesses or uses as part of its business activities.

This includes any **claim** directly relating to any fear of threat of any such **cyber attack** or **hacker**, or any action taken in controlling, preventing, suppressing or responding in any way to such **cyber attack** or **hacker**;

Network interruption liability

4. act, error or omission by **you** in the:

- a. creation, handling, entry, modification or maintenance of; or
- b. on-going operation, maintenance (including but not limited to installation, upgrading or patching) or development of,

computer or digital technology or **green technology** that is:

- i. owned, operated and controlled by **your client**; or
- ii. owned, operated and controlled by **you**, but which **your client** accesses or uses as part of its business activities,

which has caused, or is alleged to have caused an interruption to **your client's** business;

Personal data claims 5. act, error or omission by **you** in the processing, acquisition, storage, destruction, erasure, loss, alteration, disclosure, use of or access to **personal data**; or

Injury and property damage 6. act, error or omission by **you** which results in:

- a. **your computer or digital technology**; or
- b. **your green technology**,

failing to perform the function or serve the purpose for which it was intended and which has directly led to:

- i. death, bodily or mental injury or disease; or
- ii. physical loss or destruction of tangible property;

unless excluded under **What is not covered** below, **we** will pay the amount agreed by **you** and **us** through good faith negotiation, mediation or some other form of alternative dispute resolution to settle a **claim** or the amount to satisfy a judgment or arbitration award against **you** including any judgment or award ordering the payment of claimant's lawyers' fees and costs.

We will also pay **defence costs**, but **we** will not pay costs for any part of a **claim** not covered by this section.

B.

Claims brought by any party

If during the **period of insurance**, and as a result of **your business activity** for **clients** on or after the **retroactive date** within the **geographical limits**, any party including a **client**, brings a **claim** against **you** for any actual or alleged:

- | | |
|------------------------------------|--|
| Intellectual property infringement | <p>1. intellectual property infringement, (but not any patent infringement or trade secret misappropriation), including but not limited to:</p> <ul style="list-style-type: none"> a. infringement of copyright, trademark, trade dress, publicity rights, moral rights or design rights; b. cyber-squatting violations; c. any act of passing-off; or d. misappropriation of formats, characters, trade names, character names, titles, plots, musical compositions, voices, slogans, graphic material or artwork, <p>including where such intellectual property infringement is alleged to have arisen due to use of artificial intelligence including generative AI, by you or anyone on your behalf;</p> |
| Negligence | <p>2. a. negligence or breach of any duty to use reasonable care and skill, including but not limited to negligent misrepresentation; or</p> <p>b. negligent loss of or physical damage to any third-party tangible document for which you are responsible;</p> |
| Breach of confidentiality | <p>3. breach of any duty of confidence, invasion of privacy, or violation of any other legal protections for personal information;</p> |
| Defamation | <p>4. defamation, including but not limited to libel, slander, trade libel, product disparagement, or malicious falsehood;</p> |
| Dishonesty | <p>5. dishonesty of employees or sub-contractors or outsourcers directly contracted to you or under your supervision; or</p> |

Civil liability	6. any other civil liability; unless excluded under What is not covered below, we will pay the amount agreed by you and us through good faith negotiation, mediation or some other form of alternative dispute resolution to settle a claim or the amount to satisfy a judgment or arbitration award against you including any judgment or award ordering the payment of claimant's lawyers' fees and costs. We will also pay defence costs, but we will not pay costs for any part of a claim not covered by this section.
Sub-contractors or outsourcers	We will indemnify you against any claim falling within the scope of What is covered, Claims against you, A. Claims brought by your client or B. Claims brought by any party which is brought as a result of a business activity undertaken on your behalf by any sub-contractor or outsourcer.
Pre-claims assistance	If you first become aware of a potential claim, we may pay reasonable and necessary fees, costs and expenses incurred with our prior written agreement to investigate or monitor such potential claim. If a claim is subsequently brought and which arises from the same subject matter as the potential claim, our total payment, including what we have already paid to investigate or monitor the potential claim, will not exceed the applicable limit of indemnity in your schedule.
Advertising claims	C. If during the period of insurance, and as a result of your advertising or branding on or after the retroactive date within the geographical limits, any party brings a claim, including any injunctive proceedings, against you for: 1. infringement of copyright or moral rights; or 2. defamation, unless excluded under What is not covered below, we will indemnify you against the sums you have to pay as compensation, including any liability for claimants' legal costs and expenses. We will also pay defence costs but we will not pay costs for any part of a claim not covered by this section.
Your own losses	
Loss of documents	If during the period of insurance any tangible document of yours which is necessary for the performance of your business activity is physically lost, damaged or destroyed while in your possession, we will pay the reasonable expenses you incur with our prior written agreement in restoring or replacing it.
Payments toward your rectification or mitigation costs	If you become aware of a potential claim with or without your client's knowledge, which directly arises from an act, error or omission occurring during the course of your business activity, then we will pay any reasonable and necessary costs exceeding the amount of the excess that you incur during the period of insurance to rectify or mitigate that error, provided that you: 1. notify us of such act, error or omission as soon as reasonably possible; 2. satisfy us that a future claim would likely result from the act, error or omission if not rectified; 3. satisfy us that such future claim would likely be covered under this section of your policy and involve a demand for damages greater than the cost of rectifying the act, error or omission; and 4. obtain our prior written agreement before incurring such rectification costs, or incur such costs within ten days of first learning of the error and later provide us with all information and documentation that we require to support the rectification costs you have incurred and the actions you have taken. The amount we pay will not include your: a. loss of profit or mark up; b. salaries or remuneration of any employee or anyone engaged by you, including any self-employed sub-contractor or freelancer; c. management time or costs; d. liability for taxes; or

e. any measure of lost business.

If a **claim** is still made against **you** following **our** payment of these rectification costs, then these payments will be deducted from the amount **we** will pay toward resolution of that **claim** as well as the remaining limit of indemnity available for that **claim**.

Additional cover

Payment towards your outstanding fees

If:

1. **your client** has reasonable grounds for being dissatisfied with the work **you** have done or which has been done on **your** behalf and refuses to pay for any or all of it, including amounts **you** legally owe to self-employed freelancers, sub-contractors or outsourcers at the date of the refusal; and
2. **your client** threatens to bring a **claim** against **you** for more than the amount owed and **we** are satisfied that the threatened **claim** has reasonable prospects of success; and
3. **we** believe that it may be possible to settle the dispute with the **client** by **your** agreeing not to press for the disputed amount,

we may, at **our** discretion, pay **you** the amount owed to **you** in respect of such fees, over and above the **excess**, provided that prior to **us** making any such payment, **you** obtain written confirmation from **your client** that they will not pursue a **claim** against **you** if **you** agree not to pursue them for such fees.

Alternatively, if it is not possible to reach agreement with the **client** on this basis but **we** still believe that by not pressing for the disputed amount **you** will avoid a legitimate **claim** or counterclaim for a greater amount, **we** may pay the amount owed to **you** at that time, over and above the **excess**.

Once **we** agree to make any payment above, **you** will assign to **us** such rights as **you** have in relation to the amounts owed to **you**.

If a **claim** is still brought, **we** will deal with it but **our** total payment, including what **we** have already paid **you** or paid on **your** behalf will not exceed the applicable limit of indemnity stated in **your** schedule. **You** must return the amount **we** have paid if **you** eventually recover the debt, less **your** reasonable expenses

We will not make any payment for any money owed to **you** if the **claim** or threatened **claim**, or part of the **claim** or threatened **claim**, is not covered by this section of **your policy**.

Joint ventures

We will indemnify **you** against any **claim** falling within the scope of **What is covered**, **Claims against you**, which is brought against **you** during the **period of insurance** as a result of a **business activity** undertaken on **your** behalf by a:

1. person, or group of people;
2. joint venture; or
3. consortium;

where 1., 2. or 3. are carrying out such **business activities** for the purpose of profit-sharing.

We will only pay either the corresponding percentage of the **claim** that **you** are directly liable to pay or the applicable limit of indemnity, whichever is the lesser.

Payments towards claims against additional insureds

If any party brings a claim against an **additional insured** during the **period of insurance** solely as a result of an act, error or omission by **you** during the course of **your business activities**, **we** will treat such claim as if it had been made against **you** and make the same payment to the **additional insured** that **we** would have made to **you** under the terms of **your policy**, provided that the **additional insured**:

- a. has not, in our reasonable opinion, caused or contributed to the claim against them;
- b. accepts that we can control the claim's defence and settlement in accordance with the terms of this **policy**;
- c. has not admitted liability or prejudiced the defence of the claim before **we** are notified of it; and
- d. gives **us** all the information and co-operation **we** reasonably require to deal with the claim.

We will not refuse cover for payments toward a claim against an **additional insured** due to any failure by **you** to comply with **Your obligations**, Notification of claims, where the failure is solely attributable to the **additional insured's** failure to notify **you** as soon as reasonably possible of the claim.

If **we** make any payment under this **policy** in respect of a claim against an **additional insured**, this **policy** will be primary and non-contributory to the **additional insured's** own insurance, provided that this is a requirement in **your** contract with such **additional insured**.

For the purposes of this section an **additional insured** will be treated as a third party and not a named insured to the **policy**.

Overseas support staff and entities	We will indemnify you against any claim falling within the scope of What is covered, Claims against you , which is brought against you directly as a result of an act, error or omission by an overseas support staff or entity .
Service credits	We may agree to you providing service credits in full or partial settlement of a covered claim against you . Where we agree to a settlement on that basis, we will pay the cost to you of providing such service credits, not including your profit or mark-up.
Key person cover	We will pay the reasonable and necessary costs incurred by you with our prior written agreement to engage a consultant to: 1. undertake the day-to-day work of a senior manager or director to the extent that such individual is unable to fulfil his or her usual responsibilities as a direct result of their time being diverted to the management of a claim covered under this section; or 2. manage your response to a covered claim, to enable a senior manager or director to fulfil his or her usual responsibilities.
Court attendance compensation	If any person within the definition of you , or any employee of yours , has to attend court as a witness in connection with a claim against you covered under this section, we will pay you the amount stated in your schedule as compensation for each day or part of a day that their attendance is required by us . The most we will pay for the total of all court attendances is the amount stated in your schedule.
What is not covered	In addition to the General exclusions set out in the General terms and conditions, the following exclusions also apply to this section of your policy. A. We will not make any payment for any claim or loss or part of any claim or loss directly or indirectly due to:
Commercial disputes	1. a. any liability under a contract to anyone other than a client; or b. i. a commission or royalty, or any other term upon which any party is to be compensated in connection with doing business with you, or any compensation or remuneration promised or owed by you pursuant to those terms; or ii. your decision to cease doing business with any partner, associate or other party, other than your client.
Repair/replace/recall	2. any costs or expenses involved in the repair, upgrade, correction, recall or replacement of any software, hardware, firmware, artificial intelligence or associated network cabling, including any costs or expenses relating to your legal obligation to comply with an injunction.
Chargeback	3. any chargeback, liability, or fee incurred by you or your client as a result of a merchant service provider, including any credit card company or bank, wholly or partially reversing or preventing a payment transaction.
Legal and financial advice	4. any: a. reserved legal activity provided by or carried out by you, as defined in the Legal Services Act 2007, or any related, similar or successor legislation or regulation in any jurisdiction; or b. any activity regulated by the Financial Conduct Authority, the Prudential Regulation Authority or any other similar or successor regulatory bodies.
Injury	5. any death of or any bodily or mental injury or disease suffered or alleged to be suffered by anyone. However this exclusion does not apply to any part of any claim: a. seeking damages for mental anguish or distress where such damages solely stem from a covered claim for defamation; or

	b. otherwise covered by What is covered, Claims against you, A. Claims brought by your client, 6. Injury and property damage, provided that such claim is brought within the applicable courts.
Communicable disease	6. or contributed to by, resulting from or in connection with any: a. communicable disease; b. fear or threat of 6.a. above; or c. any action taken in controlling preventing, suppressing, responding or in any way relating to 6.a. or 6.b. above.
Property damage	7. loss, damage or destruction or loss of use of any tangible property, including but not limited to bearer bonds, coupons, share certificates, stamps, money or other negotiable paper. However this exclusion does not apply to any: a. claim directly arising from physical damage to a tangible document belonging to a third-party where covered under What is covered, Claims against you, B. Claims brought by any party, 2. Negligence; b. loss directly arising from any tangible document where covered under What is covered, Your losses, Loss of documents; or c. claim otherwise covered by What is covered, Claims against you, A. Claims brought by your client, 6. Injury and property damage, provided that such claim is brought within the applicable courts.
Non-fiat/virtual currency	8. any purchase, use or development of any: a. non-fiat or virtual currency including but not limited to any crypto currency, asset, unit coin, token or balance that exists only in or predominantly in digital or virtual form; b. currency which is, itself, based on or utilises blockchain or any other distributed ledger technology; or c. initial coin offering or any other form of fundraising in respect of any new currency.
Unfair competition	9. any unfair competition, deceptive trade practices, or restraint of trade or breach or alleged breach of any competition or antitrust statute, legislation or regulation.
Tax	10. any breach or alleged breach of any taxation law or regulation.
Government investigation/enforcement	11. any governmental enforcement of any legislation, regulation or order from any regulatory authority. However, this exclusion shall not apply to any otherwise covered claim from a national, local, federal, state or foreign government, agency or entity that is a client and has asserted the claim in its capacity as a client and not in its official governmental capacity.
Infrastructure interruption	12. or contributed to by, resulting from or in connection with any failure or interruption of service provided by an internet service provider, cloud services provider, telecommunications provider, utilities supplier or other infrastructure provider including but not limited to physical transmission lines, satellite networks, core DNS root servers, IP addressing systems and certificate authorities. However, this exclusion does not apply to a service where you directly control and provide such service as part of your business activity.
Sweepstakes, gambling or lotteries	13. your provision of any sweepstakes, gambling activities or lotteries.
Land, animals and vehicles	14. the ownership, possession or use of any land, building, animal, aircraft (including any drone or small unmanned aerial vehicle), watercraft or motor vehicle.
Employees	15. anyone's employment with you or any breach of an obligation owed by you as an employer.
Discrimination	16. any discrimination, victimisation, harassment or unfair treatment.
Disability discrimination	17. any violation or alleged violation of the responsibilities, obligations, or duties imposed by any federal, state, or local statutory or common law anywhere in the world (including but not limited to the Americans With Disabilities Act or the Civil Rights Act of 1964), or any amendments to or regulations promulgated under any such law that governs the prohibition of discrimination on the basis of disability.

Insolvency	18. your insolvency or the insolvency of your suppliers.
Directors and officers' liability	19. any liability or breach of any duty or obligation owed to you or your shareholders by any of your directors, officers, trustees or board members, including but not limited to any: a. allegation of insider trading; b. breach of any duty of corporate loyalty; c. liability for any statement, representation or information concerning you or your business contained in your accounts, reports, financial statements, or your advertising or branding.
Personal liability	20. any personal liability incurred by any director, officer, trustee, or board member of yours when acting in that capacity or managing your business , other than when performing a business activity for a client or advertising or branding .
Dishonest or criminal conduct	21. any fraudulent, dishonest, malicious or criminal conduct intended to cause harm to another person or business (but not in respect of a defamation claim), or any knowing or wilful violation of a law, whether committed by you or committed by another whose conduct or violation of the law you have ratified or actively condoned, or any act you knew, at the time you performed it, would give rise to a claim or loss . However, this exclusion will not apply unless: a. such conduct or wilful violation of the law has been established by a final adjudication in any judicial, administrative, or alternative dispute resolution proceeding; or b. such conduct or wilful violation of the law has been established by your admission in a proceeding or otherwise; or c. you or we discover evidence of such conduct or wilful violation of the law; at which time you shall reimburse us for all payments made by us in connection with such conduct or wilful violation of the law and all of our duties in respect of that entire claim shall cease.
Reckless conduct	22. any conduct committed in reckless disregard of another person or business' rights, but not in respect of a covered defamation claim .
Organised crime	23. any: a. violation or alleged violation of the responsibilities, obligations, or duties imposed by any racketeering or conspiracy law, including but not limited to violation of the Racketeer Influenced and Organizations Act (RICO) and all amendments to this Act or any rules or regulations promulgated under it; or b. collusion, extortion, or threatened violence.
Pre-existing problems	24. anything, including any potential claim or any actual or alleged shortcoming in your work, likely to lead to a claim or loss , which you knew or ought reasonably to have known about before the commencement of the period of insurance .
War, terrorism, civil commotion and nuclear	25. or contributed to by, resulting from or in connection with any: a. terrorism; b. civil commotion, strikes or industrial action; c. war; d. nuclear risks; e. fear or threat of 25.a. to 25.d above; or f. any action taken in controlling preventing, suppressing, responding or in any way relating to 25.a. to 25.e. above. If there is any dispute between you and us over the application of clause 25.a. or 25.b. above, it will be for you to show that the clause does not apply.
Social engineering	26. or contributed to by, resulting from or in connection with any social engineering communication .
Cyber incidents	27. or contributed to by, resulting from or in connection with any: a. cyber attack; b. hacker; c. any fear or threat of 27.a. to 27.b. above; or

- d. any action taken in controlling, preventing, suppressing, responding or in any way relating to 27.a. to 27.c. above.

However this does not apply to any covered **claim** under **What is covered, Claims against you, A. Claims brought by your client**, 3. Network security liability.

Computer or digital technology error	28. or contributed to by, resulting from or in connection with any computer or digital technology error . However, this does not apply to any covered claim under What is covered, Claims against you, A. Claims brought by your client , 2. Artificial intelligence liability or 4. Network interruption liability.
Personal data claims	29. or relating to the actual or alleged processing, acquisition, storage, destruction, erasure, loss, alteration, disclosure, use of or access to personal data . However, this does not apply to any covered claim under What is covered, Claims against you, A. Claims brought by your client , 2. Artificial intelligence liability, 3. Network Security Liability or 5. Personal data claims.
Biometric and genetic information	30. or contributed to by, resulting from or in connection with any actual or alleged failure to comply with any federal, state or local law of the United States of America or any federal, provincial, territorial or local law of Canada relating to the collection, processing, storage, or use of biometric data, biometric identifiers, biometric information, or genetic information, including, but not limited to the California Invasion of Privacy Act (CIPA), the Illinois Biometric Information Privacy Act (BIPA), the Texas Capture or Use of Biometric Identifier Act (CUBI), the Washington Biometric Identifiers Act, and the Genetic Information Privacy Act (GIPA) or any related, similar or successor legislation or regulation.
Unlawful tracking	31. or relating to the actual or alleged processing, acquisition, storage, destruction, erasure, loss, alteration, disclosure, use of or access to personal data where such claim or loss is directly or indirectly due to or contributed to by, relating to, or in connection with actual or alleged unauthorised monitoring, tracking or profiling of personal data including, but not limited to, web-tracking, pixel-tracking, session recording, digital fingerprinting, behavioural monitoring, eavesdropping, wiretapping or audio or video recording.
VPPA	32. or contributed to by, resulting from or in connection with any actual or alleged failure to comply with any federal, state or local law of the United States of America or any federal, provincial, territorial or local law of Canada, including the Video Privacy Protection Act of 1988 and California Civil Code section 1799.3, or any related, successor or similar legislation or regulation, concerning the disclosure of information related to rental, sale, access to, identity, delivery, contents or viewing of any type of video or similar audio visual materials.
Asbestos	33. asbestos risks .
Pollution	34. Pollution . However, this does not apply to any covered claim under What is covered, Claims against you, A. Claims brought by your client , 3. Network Security liability or 4. Network interruption liability.
Trademarks and false advertising	35. any actual or alleged: a. act of passing-off, unauthorised use of another's trademark, name or logo; or b. false or misleading advertising; in relation to your advertising or branding .
Opioids	36. opioid, opioid product, or product derived from opium or opiates, including but not limited to any liability arising out of the use, sale, promotion, manufacture, distribution, delivery, transport, transfer, or possession of any opioid, opioid product, or product derived from opium or opiate.
Perfluoroalkyl and polyfluoroalkyl substances	37. or contributed to by, resulting from or in connection with any: a. perfluoroalkyl or polyfluoroalkyl substances; b. any fear or threat of 37.a. above; or c. any action taken in controlling, preventing, suppressing, responding or in any way relating to 37.a. or 37.b. above.
Pension and employee benefits schemes	38. any liability or breach of any duty or obligation owed by you in connection with the operation or administration of any health, pension or employee benefit scheme, plan,

trust or fund, including but not limited to violation or alleged violation of any related legislation or regulation such as the Employee Retirement Income Security Act of 1974.

Patent/trade secret	39. any actual or alleged infringement, use, or disclosure of a patent, or any use, disclosure or misappropriation of a trade secret.
	B. We will not make any payment for:
Claims brought by a related party	1. any claim brought by any person or entity falling within the definition of you or any party with a financial, executive or managerial interest in you , including any parent company or any party in which you have a financial, executive or managerial interest, including any subsidiary company. However, this does not apply to a claim based on a liability to an independent third-party directly arising out of the performance of your business activity .
Claims by current and former employees	2. any claim made against you by any person or entity that you currently employ or formerly employed, including but not limited to employees , sub-contractors or outsourcers; however, this exclusion will not apply to any part of any claim : a. solely based on business activity performed when such person or entity was not working for you ; or b. based on a liability to an independent third-party directly arising out of the performance of your business activity ; or c. from an employee , sub-contractor or outsourcer that is brought entirely independently of that party's position as your employee , sub-contractor or outsourcer.
Punitive and exemplary damages	3. a. punitive or exemplary damages, unless insurable in the jurisdiction where such award was first ordered; or b. service credits, unless we agree to pay for such service credits as part of an agreed settlement in lieu of damages under What is covered, Claims against you . However, we will not make payment for any service credits you are obliged to provide under the terms of a contract between you and your client .
Fines and penalties	4. criminal, civil, or regulatory sanctions, fines, penalties, disgorgement of profits, treble damages or multiple damages which you are legally obliged to pay, including but not limited to those imposed by any national, local, federal, state or foreign governmental body or by the Mechanical Copyright Protection Society (MCPS), Performing Rights Society (PRS) Alliance, American Society of Composers Authors and Publishers (ASCAP), Broadcast Music Inc. (BMI), Society of European Stage Authors and Composers (SESAC), or any other similar licensing organisation.
Claims outside the applicable courts	5. any claim , including arbitration, brought outside the applicable courts . This applies to proceedings in the applicable courts to enforce, or which are based on, a judgment or award from outside the applicable courts .
Trading losses	6. any trading loss or trading liability including those arising from the loss of any client , account or business.

How much we will pay

Each and every claim	If your schedule states that the limit of indemnity applies to each and every claim or loss: 1. excluding defence costs ; the most we will pay for each potential claim, claim and losses is the limit of indemnity stated in your schedule. We will also pay for defence costs in addition to the limit of indemnity stated in your schedule. However, if a payment greater than the limit of indemnity has to be made for a potential claim, claim or loss , our liability for defence costs will be limited to the same proportion that the limit of indemnity bears to the amount paid; or 2. including all costs; the most we will pay for each potential claim, claim , including defence costs , and losses is the overall limit of indemnity stated in your schedule, unless limited below or in your schedule.
In the aggregate	If your schedule states that the limit of indemnity applies in the aggregate:

	1. excluding defence costs; the most we will pay for the total of all potential claims, claims and losses is the overall limit of indemnity stated in your schedule, irrespective of the number of potential claims, claims or losses. We will also pay for defence costs in addition to the limit of indemnity stated in your schedule. However, if a payment greater than the limit of indemnity has to be made for a potential claim, claim, or loss, our liability for defence costs will be limited to the same proportion that the limit of indemnity bears to the amount paid; or 2. including all costs; the most we will pay for the total of all potential claims, claims, including their defence costs, and losses is the overall limit of indemnity stated in your schedule, irrespective of the number of potential claims, claims or losses, unless limited below or in your schedule.
Overheads and other business costs	Any amounts to be paid by us shall not include or be calculated based on any of your overhead expenses, your liability for debt, taxes, lost costs or profits, salaries or wages, production, recall, correction or reproduction costs, or any future cost of doing business, including but not limited to the cost of any future licence or royalty, or costs of improving your security, or performing audits.
Excess	You must pay the relevant excess stated in your schedule. The excess will only be eroded by the covered part of the potential claim, claim or loss .
Multiple claims from a single source	If your schedule states that the limit of indemnity applies to each and every claim or loss, all potential claims, claims and losses which arise from: 1. the same original cause, a single source or a repeated or continuing problem in your work; or 2. in relation to defamatory statements, a single or continuing investigation or a common set of facts or state of affairs; will be treated as a single claim, loss or potential claim. You will pay a single excess and we will pay a maximum of a single limit of indemnity for these related potential claims, claims and losses. All of the notifications which are related will be considered as having been made on the date of the first notification to us.
Paying out the limit of indemnity	At any stage of a claim, we can pay you the applicable limit of indemnity or what remains after any earlier payment from that limit. We will pay defence costs already incurred at the date of our payment. We will then have no further liability for that claim or its defence costs .
Claims and losses under more than one cover	If the same claim or loss or part of a claim or loss is insured under more than one cover under What is covered above, we shall only make payment for that claim or loss under one of the covers, being the cover that is most advantageous for you .
Waiver of subrogation	Where you are contractually required to waive your rights of recovery against a client, we agree to waive our right to pursue a recovery against such client , provided that such contract was entered into prior to the date on which the circumstance giving rise to the claim or loss arose. This does not apply to any claim or loss that arises due to any text, audio, video, images, code or other data supplied by such client , or where the claim or loss arises due to an act, error or omission committed by such client .
Special limits	There are claims arising from certain circumstances in which an aggregate limit will always apply, even if your schedule states that cover under this section applies to each and every claim or loss. For potential claims or claims arising from or related to the items listed at 1. to 5. below, a single, separate, aggregate limit of indemnity will apply in respect of the total of all covered potential claims or claims made against you during the period of insurance arising from or relating to each such item. These special aggregate limits do not however mean that the overall limit of indemnity for any one potential claim or claim as stated on your schedule is increased. Unless specified by us in the special limits section of your schedule, the amount of the separate aggregate limit of indemnity in respect of each item 1. to 5., shall be inclusive of defence costs and shall be the same amount as the limit of indemnity stated in your schedule.
Personal data	1. personal data .
Network security liability	2. the cover provided under What is covered, Claims against you, A. Claims brought by your client , 3. Network security liability.
Dishonesty	3. the dishonesty of your employees , sub-contractors or outsourcers.

Property damage	4. the physical loss or destruction of or damage to tangible property.
Injury	5. the death, disease or bodily or mental injury of anyone.

Where **you** schedule states that a special limit applies in respect of an item listed at 1. to 5. above, the most **we** will pay for the total of all **potential claims** or **claims**, including **defence costs** made against **you** during the **period of insurance** arising from or relating to such item is the aggregate special limit specified, irrespective of whether **your** schedule states that cover is given on an each and every claim or loss basis or an aggregate basis.

Key person cover	The most we will pay for the total key person cover is: 1. an equivalent sum of the senior manager's or director's contractual salary for the 12-month period prior to you receiving the claim; or 2. £250,000; whichever is the lesser.
------------------	--

Your obligations

Notification of claims	1. We will not make any payment under this section unless you notify us of: a. any claim made against you or any loss as soon as reasonably possible and within the period of insurance or at the latest within 14 days at the end of that period of insurance for any claim or loss you first became aware of in the seven days before expiry; b. potential claims under this section, such notification must be as soon as reasonably possible and within the period of insurance or at the latest within 14 days after the end of that period of insurance, and must to the fullest extent possible identify the particulars of the potential claim, including identifying any potential claimant, the likely basis for liability, the likely demand for relief and any additional information about the potential claim that we reasonably request. If such a potential claim notification is made to us then we will treat any claim arising from the same particulars as that notification as if it had first been made against you on the date you properly notified us of it as a potential claim, even if that claim is first made against you after the period of insurance has expired; c. your discovery, or the existence of reasonable grounds for your suspicion, that any employee or sub-contractor or outsourcer has acted dishonestly, as soon as reasonably possible. If you renew this policy with us and it is not subsequently cancelled, we will accept notifications that you make to us under this period of insurance for claims, potential claims or losses that you became aware of within the 60 days immediately prior to the expiry of this period of insurance. You must make such notifications to us within a maximum period of 60 days after the expiry of this period of insurance. 2. You must: a. ensure that our rights of recovery, including but not limited to any subrogated rights of recovery, against a third-party are not unduly restricted or financially limited by any term in any of your contracts; b. not admit that you are liable for what has happened or make any offer, deal or payment, unless you have our prior written agreement; c. not reveal the amount of cover available under this insurance, unless you had to give these details in negotiating a contract with your client (including negotiating any request for proposal), you are required by law or compelled by a court, or you otherwise have our prior written consent. If you fail to comply with these obligations, we may reduce any payment we make under this section by an amount equal to the detriment we have suffered as a result.
Our rights of recovery	
Not admitting liability	
Not reveal the amount of cover	

Control of defence	We have the right, but not the obligation, to take control of and conduct in your name the investigation, settlement or defence of any claim or any part of a claim. You must give us the information and co-operation which we may reasonably require and take all reasonable steps to defend any claim. You should not do anything which may prejudice our position.
--------------------	--

Appointment of legal representation	We have the right, but not the obligation, to select and appoint an adjuster, lawyer or any other appropriate person of our choosing to deal with the claim .
Partially covered claims	If a claim is made which: 1. is not wholly covered by this section; or 2. is made against you and any other party who is not covered under this section; then at the outset of the claim, we and you agree to use best efforts to determine a fair allocation of covered and non-covered parts of any claim or associated costs, including defence costs on the basis of the relative legal and financial exposures.
Advancement of defence costs	We will pay defence costs covered by this section on an ongoing basis prior to the final resolution of any claim ; however, we will not pay any defence costs in connection with any claim or part of a claim which is not covered under this section. You must reimburse us for any defence costs paid where it is determined there is no entitlement under this section.
Payment of full limit of indemnity	We have no further duty to indemnify you against any claim where we pay you the applicable limit of indemnity as described in How much we will pay , Paying out the limit of indemnity, or if the overall limit of indemnity stated in your schedule has been exhausted.
Payment of excess	Our duty to make any payment under this section arises only after the applicable excess is fully paid. The excess will only be eroded by the covered parts of a claim .
Disputes	For the purposes of Control of defence in this section of the policy, General condition 14, Arbitration, within the General terms and conditions is amended to read as follows: Any dispute as to whether to settle or to continue the defence of a claim or as to the fair allocation of any partially covered claim and its associated costs, will be referred to a single King's Counsel (or equivalent in this or any other jurisdiction) to be mutually agreed or in the absence of such agreement to be nominated by the President of the Law Society of England and Wales. The opinion of such King's Counsel shall be binding on you and us in relation to matters referred under this clause. The costs of such opinion shall be met by us.

Cyber and data insurance

Policy wording

Please read **your** schedule to see if **your** own losses, cyber business interruption, claims and investigations against **you**, **your** own losses from crime and/or bricking are covered.

The General terms and conditions and the following terms and conditions all apply to this section.

Your schedule will state whether **your** policy includes this section.

Special definitions for this section

Acquired entity	Any entity acquired by you during the period of insurance that is domiciled in the United Kingdom of Great Britain and Northern Ireland, the Channel Islands, the Isle of Man or Gibraltar and performs the same activities as your business. This does not include any entity: 1. that has been the subject of a claim or loss arising from a crime with a value greater than the excess, which would have been covered by this section of the policy; or 2. whose assets exceed 20% of your total assets as reflected in your financial statement immediately prior to the period of insurance; 3. that trades any of its debt or securities on any United States of America exchange; or 4. that has any offices or employees that are based outside of the United Kingdom of Great Britain and Northern Ireland, the Channel Islands, the Isle of Man or Gibraltar.
Additional business expenses	Any: 1. increased cost of power; 2. increased cost of internet usage or cloud computing services; 3. reasonable costs necessarily incurred by you to restore your search engine rating; 4. cost of any malicious pay-per-click clicks; incurred by you during the indemnity period as a sole and direct result of a cyber attack against you.
Additional increased costs of working	The additional costs and expenses, not including any costs of reconstitution of data, reasonably incurred by you with our prior written agreement in order to continue your business during the indemnity period.
Applicable courts	The courts of competent jurisdiction in those countries stated as the applicable courts in your schedule.
Breach	The unauthorised acquisition, access, retention, use or disclosure of, or the loss or theft of, personal data or confidential corporate information held by you.
Breach costs	The following reasonable and necessary costs incurred by you with our prior written agreement in direct response to an actual or suspected breach: 1. legal costs to: a. provide advice to you in connection with your investigation of a breach; b. assist with the preparation of notifications to any regulator and affected data subjects; and c. determine and pursue any indemnity under a written agreement with a third party; 2. breach forensic costs; 3. costs incurred to notify: a. each affected data subject of the breach; and b. any regulatory body, including but not limited to the Information Commissioner's Office, of the breach; where you are required by any law or regulation to do so or, where you do so voluntarily, you have previously sought and obtained our consent; 4. costs you incur to use a third-party call centre to answer enquiries from affected data subjects following notification of the breach to such data subjects; 5. credit monitoring costs; and

6. costs to monitor the dark web for the appearance of any information accessed in the course of a **breach**;

but not including any overhead costs, general business expenses, salaries or wages incurred by **you** or any other person or entity entitled to coverage under this section.

Breach forensic costs

Costs **you** incur for:

1. computer forensic analysis conducted by outside forensic experts to:
 - a. confirm whether or not a **breach** has occurred;
 - b. identify any affected **data subjects**;
 - c. stop or contain the **breach**; and
2. legal fees necessary for the preservation of the privilege or confidentiality of forensic reports and findings.

Claim

Any written assertion of liability, any written demand for financial compensation, any written demand for injunctive relief, or any civil or criminal proceeding first made against **you** within the **applicable courts**, or any regulatory or arbitration proceeding first brought against **you** within the countries stated as the **applicable courts**.

Client social engineering

A client transferring **money**, **securities** or **property**, which **you** were entitled to receive, to a third-party in direct response to a **social engineering communication** purportedly sent from **your computer system** as a direct result of a **hacker**.

For the purposes of this definition:

1. the client shall be treated as '**you**' for the purposes of the definition of **social engineering communication**; and
2. the definition of **hacker** does not include any of **your employees**, sub-contractors or outsourcers.

Computer system

Any **computer or digital technology** that **you** own, operate and control which is capable of processing or operating a **program**.

Counterfeit

A quality imitation of any original that is intended to deceive and be taken as the original.

Credit monitoring costs

The reasonable and necessary costs incurred by **you** with **our** prior written agreement to provide credit monitoring services or other credit protection services to each affected **data subject**.

Crime

Any of the following, unless committed by **you** or with **your** knowledge or consent:

1. **client social engineering**;
2. **dishonesty of an employee**;
3. **electronic theft**;
4. **financial social engineering**;
5. **fraudulent use of your electronic identity**;
6. **loss of assets**; or
7. **telephone toll fraud**.

Crime retroactive date

The date stated as the crime retroactive date in **your** schedule.

Cyber operation

The use of any **computer or digital technology** by, at the direction, or under the control of a **state** to disrupt, deny, degrade, exfiltrate, manipulate or destroy any data or **computer or digital technology** in or of another **state**.

Cyber ransom losses

Following a **cyber attack** against **your computer system** or the communication of an **illegal threat**:

1. the reasonable and necessary fees of **our** appointed consultant, incurred by **you** with **our** prior written agreement, for advising **you** and the handling and negotiation of the ransom demand;
2. the cost of, and reasonable costs in facilitating, any ransom demand from the third party or, if the demand is for goods or services, their market value at the time of the surrender; and
3. the amount of any stolen ransom, where such theft occurs at or in transit to the agreed location for payment of the ransom.

Daily interruption benefit	The daily loss amount, as specified in your schedule, payable for each consecutive day that your business suffers from an interruption .
Data asset	Any electronic data or software.
Data recovery costs	The reasonable costs and expenses, necessarily incurred by you with our prior written agreement, to regain access to your data asset , or to replace, restore or repair your data asset from back-ups or originals.
Data subject	Any natural person identified or identifiable by personal data .
Defence costs	The reasonable lawyers' and experts' fees, necessarily incurred by you , with our prior written agreement in investigating, settling, defending, appealing or defending an appeal against a covered claim .
Dependent business	Any individual or entity that provides you with outsourced business processes or information technology services pursuant to a contract.
Discovered	The first discovery by any of your partners, directors, trustees, in-house counsel or senior management in actual control of your operations of a crime or any circumstances that reasonably suggest a crime has occurred.
Dishonesty of an employee	Any dishonest, fraudulent or malicious act of an employee acting alone or in collusion with others resulting in a loss of assets. For any dishonesty of an employee, there must be a clear intention to obtain an improper financial gain over and above salary, bonus or commission for the employee or the colluding person.
Document	- Any bill of exchange, cheque, draft, certificate of deposit, letter of credit, promissory note, withdrawal order or receipt for the withdrawal of money, financial instruments or property or similar instruments of value serving the same purpose; or - any original document (but not any photocopied or faxed document or email supplied to you) specified within your internal policies or procedures as being required to be supplied to you prior to, and as a condition of, the funding of any loan or extension of credit.
Electronic theft	The criminal taking or misappropriation using electronic means by anyone other than you or an employee of money , securities , or property belonging to you .
Employee	Any individual performing employment duties solely on your behalf in the ordinary course of your business and who is subject to your sole control and direction and to whom you supply the instruments and place of work necessary to perform such duties. This does not include you or your sub-contractors or outsourcers.
Financial social engineering	Any request directed to you or someone on your behalf by a person or entity improperly seeking to obtain possession or the transfer to a third-party of money , securities or property to which such third-party is not entitled.
Forgery	The unauthorised handwritten, mechanical or electronic signing or endorsing of the name of a genuine person with intent to deceive. This does not include anyone signing or endorsing their own name, with or without authority.
Fraudulently altered	The alteration of a document for a fraudulent purpose by any unauthorised person. This does not include any material inaccuracy or misleading statement contained in any document .
Fraudulent use of your electronic identity	The fraudulent or dishonest use of the electronic identity of your business, including but not limited to: - the obtaining of credit in your name; - the electronic signing of any contract; - the creation or use of a website designed to copy or imitate that of your business; or - the use by a third-party of your digital or electronic identity.
Funds transfer error	The theft or misappropriation of money , property or securities where transfer to a third party has occurred as a result of an error by you , including in response to financial social engineering , in the course of your business , after you have exhausted every reasonable course of action to secure its recovery.
Illegal threat	Any threat from a third-party, including an employee but not you , to:

1. disseminate, divulge, use or prevent **your** access to any electronically held confidential corporate information or **personal data** which:
 - a. **you** are responsible for; and
 - b. will cause commercial harm if made public,
 following any unauthorised external electronic access;
2. carry out a **cyber attack** against **you**; or
3. not withdraw from doing anything in 1. or 2. above.

Income	The total income of your business .
Increased costs of working	The reasonable costs and expenses, necessarily incurred by you for the sole purpose of minimising the reduction in income during the period calculated in accordance with How much we will pay 1. The interrupted period, but not exceeding the loss of income saved.
Indemnity period	The time period beginning at the date the interruption to your business commences and lasting for the period during which your income is affected as a result of such interruption, but for no longer than the time period stated in your schedule. This period may not commence more than 90 days after you discover or reasonably suspect a breach, security failure, illegal threat or cyber attack .
Information technology services	Computer and electronic technology services, including but not limited to cloud computing and other hosted computer resources. However, this does not include internet or telecommunications connectivity services.
Insured person	Any natural person who is, or during the period of insurance becomes, a statutory director, partner or officer of you .
Interruption	An interruption to your business which commences during the period of insurance and results from part or parts of your computer system , that are critical for revenue generation, being continuously interrupted and materially impaired .
Loss	Any financial harm caused to your business .
Loss of assets	1. Loss, destruction or damage of your money, property or securities which are in your possession in the usual course of your business resulting directly from any actual or attempted theft at your premises; 2. loss resulting directly from your receipt in good faith of any counterfeit cash, coin, bank and currency notes; or 3. funds transfer error.
Loss of income	The loss of your income calculated in accordance with How much will we pay .
Materially impaired	A widespread disruption to your computer system affecting multiple users, or a single user if you are either a sole trader or have only one employee , and causing loss .
Money	Cash, coin, bank and currency notes, bullion, funds, cheques, registered cheques, travellers' cheques, postal orders, bank drafts, money orders or any electronic, digital, or online currency, but not including cryptocurrency.
Operational error	Any non-malicious act, error or omission by an employee in the: 1. creation, handling, entry, modification or maintenance of any data asset; or 2. operation, maintenance (including but not limited to installation, upgrading or patching), or development of your computer system.
Outsourced business processes	Services provided by business process outsourcers supporting the operation of your business functions, that could otherwise be performed internally, including but not limited to human resources, call centres and accounting services. This does not include fulfilment services or the provision of products or services as part of your supply chain.
PCI charges	Any charges, fines, penalties, levies, costs, recertification costs, expenses, assessments, contractual damages or imposition of liabilities of any nature arising as a direct result of your failure to comply with PCI DSS due to a breach , including any sums in relation to card reissuance or fraudulent transactions.

PCI DSS	Payment Card Industry Data Security Standard or any similar or successor standard or regime.
Privacy forensic costs	The reasonable and necessary costs incurred by you with our prior written agreement for forensic services conducted by outside forensic experts to assist in the defence of a claim .
Privacy investigation	Any official examination, official inquiry or official investigation based on the same circumstances as any breach or claim under What is covered, C. Claims and investigations against you , Privacy liability 1. a., b., or d., conducted by any regulator, government department or other legally empowered body within the countries listed within the definition of applicable courts only.
Privacy investigation costs	The reasonable and necessary lawyers' and experts' fees incurred with our prior written agreement in investigating, settling, defending, appealing or defending an appeal against a privacy investigation .
Property	Tangible property.
Public relations costs	The reasonable costs, necessarily incurred by you , with our prior written agreement: 1. for a public relations or crisis management consultant to assist you in protecting or re-establishing your business reputation and to respond to media reports, including the development and communication of a strategy to repair your reputation; 2. to issue statements via email or your website and social media accounts, including managing and monitoring your social media sites; and 3. for any other reasonable and proportionate measures taken to protect or re-establish the reputation of your business.
Regulatory award	Following a privacy investigation , any civil or regulatory sanctions, fines, penalties, disgorgement of profits, damages or multiple damages, including but not limited to those imposed by any national, federal, state or local governmental body or any licensing organisation, if insurable in the jurisdiction where such award was first ordered, but not including PCI charges .
Securities	Negotiable and non-negotiable instruments or contracts, in physical or electronic form, which represent money or property .
Security failure	Any failure by you or by others on your behalf (including but not limited to your sub-contractors and outsourcers) in securing your computer system against unauthorised electronic access or use.
State	Any sovereign state.
Subsidiary	An entity: 1. that has been identified in the presentation of the risk for this policy and of which you own more than 50% of the book value of the assets or of the outstanding voting rights on the first day of the period of insurance; or 2. in which you acquire more than 50% of the book value of the assets or of the outstanding voting rights during the period of insurance: a. where the turnover at the date of acquisition is less than 10% of your existing turnover; b. where the acquired entity's business is the same as yours; c. domiciled in the United Kingdom of Great Britain and Northern Ireland, the Channel Islands, the Isle of Man or Gibraltar; and d. which has not suffered any loss or been subject to any claim with a value greater than the excess, which would have been covered under this section of the policy.
Telephone toll fraud	The unauthorised and criminal use by someone, other than you or an employee , operating outside of premises used for your business , of any telephone lines used by you , including but not limited to fixed line, voice over internet protocol and mobile.
Termination losses	Your loss of income directly arising from any of your customers terminating or deciding not to renew their contract(s) with you solely and directly due to your business having suffered an interruption .
Termination losses indemnity period	The time period stated in your schedule as the indemnity period , but which, for the purposes of Termination losses only, shall commence on the date on which an existing customer of yours effectively cancelled or did not renew their contract(s) with you , solely and directly due to your business having suffered the interruption .

If **you** do not receive such a cancellation or non-renewal within the first 59 days following the date on which the **interruption to your business** first commenced, the **termination losses indemnity period** shall automatically commence on day 60.

Time excess	The period stated in your schedule as the time excess, which shall commence immediately following an interruption .
Waiting period	The period stated in your schedule as the waiting period, which shall commence immediately following an interruption .
Virus	Programs designed to or which result in damage, disruption, exfiltration of data from, or unauthorised access to any data or computer or digital technology , including, but not limited to, malware, wipers, worms, trojans, rootkits, spyware, dishonest adware, crimeware, ransomware, crypto-jacking and other malicious software.
You/your	Also includes: - any person who was, is or during the period of insurance becomes your partner, director, trustee, in-house counsel or senior manager in actual control of your operations; and - any subsidiary including any person who was, is or during the period of insurance becomes a partner, director, trustee, in-house counsel or senior manager of any subsidiary in actual control of its operations.

What is covered

A. Your own losses	If during the period of insurance , and in the course of your business , you discover or reasonably suspect any: breach; security failure; illegal threat; or cyber attack against your computer system; we will pay:
Breach costs	a. breach costs ;
Cyber ransom losses	b. cyber ransom losses ;
Cyber attack losses	c. additional business expenses ;
Data recovery costs	d. data recovery costs . This shall include your data recovery costs where these arise from either an operational error or a dependent business suffering a security failure or cyber attack , but only if the corresponding operational error or dependent business interruption extension is stated as operative in your schedule;
Reputation protection	e. public relations costs ;
Key person cover	f. the reasonable and necessary costs incurred by you with our prior written agreement to engage a consultant to: - undertake the day-to-day work of a senior manager or director to the extent that such individual is unable to fulfil his or her usual responsibilities as a direct result of their time being diverted to the management of a covered breach, security failure, illegal threat or cyber attack; or - manage your response to a covered breach, security failure, illegal threat or cyber attack, to enable a senior manager or director to fulfil his or her usual responsibilities.
Breach by suppliers	We will indemnify you against any loss falling within the scope of What is covered, A. Your own losses , a. breach costs , which arises as a result of any breach directly caused by a dependent business .
B. Cyber business interruption	If you have Cyber business interruption cover, your schedule will state whether your cover is based upon your loss of income , increased costs of working , termination losses , and/or additional increased costs of working , or if you will receive a daily interruption benefit .
Business interruption losses	If you suffer an interruption caused solely and directly by a: breach;

2. **security failure**;
3. **illegal threat**;
4. **cyber attack** against your **computer system**; or
5. decision taken with **our** consent to voluntarily shut down **your computer system** in order to avoid or mitigate a loss caused by one or more of 1. to 4. above;

we will pay, up to the limit stated in **your** schedule, either:

- a. **your**:
 - i. **loss of income, increased costs of working and termination losses**; or
 - ii. **loss of income, increased costs of working, termination losses and additional increased costs of working**;
 resulting solely and directly from such **interruption**; or
- b. the **daily interruption benefit**.

Please read **your** schedule to see if **you** have purchased any of the Cyber business interruption optional extensions [detailed below], as without such applicable extension, **your policy** does not cover any losses arising from an **interruption** due to either an **operational error** or a **dependent business** suffering a **security failure** or **cyber attack**.

Optional Extensions to B. Cyber business interruption

Operational error
business interruption
extension

If **you** suffer an **interruption** which is caused solely and directly by a covered **operational error**, **we** will pay, up to the limit stated in **your** schedule, either:

- a. **your**:
 - i. **loss of income, increased costs of working and termination losses**; or
 - ii. **loss of income, increased costs of working, termination losses and additional increased costs of working**;
 resulting solely and directly from such **interruption**; or
- b. the **daily interruption benefit**.

Dependent business
interruption extension

If **you** suffer an **interruption** which is caused solely and directly by a **dependent business** suffering a **security failure** or **cyber attack** which, if that same **security failure** or **cyber attack** happened to **you**, would be covered under **What is covered B. Cyber business interruption 2. security failure** or **4. cyber attack**, **we** will pay, up to the limit stated in **your** schedule, either:

- a. **your**:
 - i. **loss of income, increased costs of working and termination losses**; or
 - ii. **loss of income, increased costs of working, termination losses and additional increased costs of working**;
 resulting solely and directly from such **interruption**; or
- b. the **daily interruption benefit**.

For the purposes of this cover, the **dependent business** shall be treated as '**you**' for the purposes of the definition of **security failure**.

C. Claims and investigations against you

Privacy liability

If during the **period of insurance**, and in the course of **your business** within the **geographical limits**:

1. any party brings a **claim** against **you** for any actual or alleged:
 - a. breach, violation or infringement of any right to privacy, consumer data protection law, or other legal protection for **personal data**;
 - b. breach of duty to maintain the security or confidentiality of **personal data**;
 - c. breach of any duty of confidence, including in respect of any confidential corporate information; or
 - d. breach of any contractual duty to maintain the security or confidentiality of **personal data**, including under a payment card processing agreement with any bank or payment processor;

Privacy investigations

2. **you** are the subject of a **privacy investigation**;

PCI liability	3. any party brings a claim against you for any actual or alleged breach of PCI DSS ;
Online liability	4. any party brings a claim against you for any actual or alleged: a. infringement of any intellectual property rights; b. defamation, including but not limited to libel, slander, trade libel, product disparagement or malicious falsehood; or c. breach of any licence; which solely and directly arises from alterations or additions made by a hacker to the content of your business social media accounts or website;
Network security liability	5. any party brings a claim against you for any actual or alleged: a. transmission of a virus; b. denial of service attack against a third party; or c. prevention of authorised electronic access to any computer system; we will pay: i. the amount agreed by you and us through negotiation or mediation to settle the claim or the amount to satisfy a judgment or arbitration award against you, including any judgment or award ordering you to pay claimants' lawyers' fees and costs; ii. any regulatory award; iii. PCI charges; iv. any monetary amounts that you are legally required to pay, or that you have agreed to pay under the terms of a settlement entered into with our prior written agreement, into a consumer redress fund; v. privacy forensic costs and privacy investigation costs; and vi. defence costs, but we will not pay costs for any part of a claim, privacy investigation or investigation not covered by this section.
D. Your losses from crime	If during the period of insurance , and in the performance of your business within the geographical limits , a loss from crime is discovered , we will pay loss arising as a direct result of that crime . We will also pay your public relations costs .
E. Bricking	If during the period of insurance and in the course of your business , any property which you own, and which through digital connectivity forms part of your computer system used for your business , is permanently disabled as a direct result of a security failure , cyber attack against your computer system , hacker or transmission of a virus , we will cover the costs of repairing or replacing the unusable part.
F. Additional covers	The following additional covers are provided up to the corresponding limit of indemnity stated in your schedule.
Repeat event mitigation	Following any payment under What is covered A. to E. above, we will pay the reasonable and costs and expenses necessarily incurred by you with our prior agreement to: 1. upgrade existing hardware or software forming part of your computer system; and 2. obtain risk management advice, which is necessary to prevent or minimise the chance of a reoccurrence of the event that gave rise to the payment under this section.
Directors' personal cyber	If: 1. any insured person suffers a direct financial loss; or 2. a claim is brought against an insured person; in their personal capacity but which would have been covered under this section if the same claim had been brought against you or if you had suffered the same loss, we will cover the insured person under this section as if they were you.
Court attendance compensation	If any individual within the definition of you or any employee , has to attend court as a witness in connection with a claim against you covered under this section, we will pay you the amount stated in your schedule as compensation for each day or part of a day that their attendance is required by us .

Criminal reward fund	We will pay, at our sole and absolute discretion, on your behalf an amount for information that leads to the arrest and conviction of any individual(s) committing or attempting to commit any illegal act that results in a loss falling within the scope of What is covered, A. Your own losses.	
What is not covered	In addition to the General exclusions set out in the General terms and conditions, the following exclusions also apply to this section of your policy.	
Breach of duty to customers	A.	We will not make any payment for any claim, loss or any other liability under this section directly or indirectly due to: 1. any claim under What is covered, C. Claims and investigations against you, 1. Privacy liability; or 5. Network security liability, arising directly out of any actual or alleged breach of any contractual or other duty by any person in the provision of products or services to your client or customer. However, this does not apply where a data subject makes a claim directly against you relating to their own personal data.
Infrastructure failure	2.	any failure or interruption of service provided by an internet service provider, telecommunications provider, utilities supplier or other infrastructure provider including but not limited to physical transmission lines, satellite networks, core DNS root servers, IP addressing systems and certificate authorities. However, this exclusion does not apply to a service where you directly control and provide such service as part of your business.
Intellectual property	3.	any actual or alleged infringement, use, misappropriation or loss of value of any intellectual property, including but not limited to patent, trade secret, copyright, trademark, trade dress, service mark, service name, title or slogan, or any publicity rights violations, cybersquatting violations, moral rights violations, or any act of passing-off. However, this exclusion does not apply to any otherwise covered claim under What is covered, C. Claims and investigations against you, 4. Online liability.
Hack by director or partner	4.	any individual hacker who is also a partner, director, trustee, in-house counsel or senior manager within the definition of you.
Destruction of property	5.	any loss, theft, damage, destruction or loss of use of any property. However, this does not apply to any: a. breach, which is itself caused by the loss or theft of data; b. loss covered under What is covered, D. Your losses from crime; or c. damage covered under What is covered, E. Bricking.
Bodily injury	6.	any death or bodily injury or disease suffered or alleged to be suffered by anyone. However, this exclusion does not apply to any part of a claim seeking damages for mental anguish or distress where such damages solely stem from a covered claim for defamation, breach of privacy or by a data subject relating to their own personal data.
System degradation or performance	7.	any: a. degradation, deterioration or reduction in performance of your computer or digital technology caused gradually or as a result of the recommended use or your ordinary use of the system; or b. loss of, reduction in or loss of use of bandwidth, unless caused by an identifiable cyber attack; including where caused by increased use of the computer or digital technology or by steps taken by you to upgrade the system. However, this exclusion does not apply to any covered loss under What is covered, B. Cyber business interruption, Operational error business interruption.
Outdated systems	8.	the use by you of any computer or digital technology which is unsupported by the developer.
Seizure and confiscation	9.	any confiscation, nationalisation, requisition, expropriation, appropriation, deprivation, seizure or destruction of property by or under the order of any government or public or local authority, or any order by such authority to take down, deactivate or block access to your computer or digital technology.
Crime or damage to property caused by terrorism	10.	any: a. crime caused by or arising in connection with terrorism. This exclusion only applies to cover under What is covered, D. Your losses from crime; or

- b. damage to **property** caused by **terrorism**. This exclusion only applies to the cover under **What is covered, E. Bricking**.

If there is any dispute between **you** and **us** over the application of this exclusion, it will be for **you** to show that this exclusion does not apply.

War	11. any war or cyber operation . Notwithstanding our burden of proof as the insurer, which shall remain unchanged by this clause, in determining attribution of a cyber operation to a state , we and you will consider such objectively reasonable evidence that is available to us. This may include formal or official attribution by the government of the state in which the computer system affected by the cyber operation is physically located to another state or those acting at its direction or under its control.
Nuclear risks	12. nuclear risks .
Insolvency	13. your insolvency or the insolvency of your suppliers, sub-contractors and outsourcers.
Pre-existing problems	14. anything likely to lead to a claim, loss or other liability under this section, which you knew or ought reasonably to have known about before we agreed to insure you .
Dishonest and criminal acts	15. any: a. fraudulent, dishonest, malicious or criminal conduct intended to cause harm to another person or business, or any knowing or wilful violation of a law, whether committed by you or committed by another whose conduct or violation of the law you have ratified or actively condoned; or b. act you knew, or reasonably ought to have known at the time you performed it, would give rise to a claim, loss or any other liability under this section. This includes any statement you knew, or ought reasonably to have known, was defamatory at the time of publication. However, this exclusion will not apply unless: i. such conduct, violation of the law or act has been established by a final judgment in any judicial, administrative, or alternative dispute resolution proceeding; ii. such conduct, violation of the law or act has been established by your admission in a proceeding or otherwise; or iii. you or we discover evidence of such conduct, violation of the law or act; at which time you shall reimburse us for all payments made by us in connection with such conduct, violation of the law or act and all of our duties in respect of that claim, loss or other liability under this section shall cease.
Reckless conduct	16. any conduct committed by you in reckless disregard of your or another person's or business' rights or your business interests.
Personal social media	17. any post from a social media account that does not belong to your business .
Fraudulent use of your electronic identity	18. the fraudulent or dishonest use of the electronic identity of your business . However, this exclusion does not apply to: a. any covered claim or loss under What is covered, D. Your losses from crime ; or b. any claim under What is covered, C. Claims and investigations against you arising as a direct result of a hacker .
Natural perils	19. any: a. physical cause or natural peril including, but not limited to, fire, flood, storm, lightning, frost, explosion or extremes of weather or temperature; or b. physical damage or physical loss arising in relation to computer or digital technology . However, if you have purchased cover under What is covered, E. Bricking , this exclusion does not apply to any physical damage or physical loss arising in relation to computer or digital technology directly caused by its digital connectivity to other computer or digital technology .
Money, property or securities	20. any loss of money, property or securities unless covered under What is covered, D. Your losses from crime .
Non-fiat / virtual currency	21. any purchase, use or development of blockchain or any other distributed ledger technology, including but not limited to any:

- a. non-fiat or virtual currency including but not limited to any crypto currency, asset, unit, coin, token or balance that exists only in or predominantly in digital or virtual form;
- b. currency which is, itself, based on or utilises blockchain or any other distributed ledger technology;
- c. initial coin offering or any other form of fundraising in respect of any new currency; or
- d. smart contracts or non-fungible tokens.

However, this exclusion shall not apply to any covered **cyber ransom losses**.

Pollution

- 22. any pollution or contamination including but not limited to:
 - a. any solid, liquid, gaseous or thermal contaminant or irritant; or
 - b. noise, electromagnetic fields and radiation.

Breach of financial or fiduciary duties

- 23. a. any liability or breach of any duty or obligation owed by **you** regarding the sale or purchase of any stocks, shares, or other securities, or the misuse of any information relating to them, including breach or alleged breach of any related legislation or regulation;
- b. any liability or breach of any duty or obligation owed by **you** regarding any express or implied statement or representation contained in **your** accounts, reports or financial statements, or concerning **your** financial viability;
- c. any breach of any taxation, competition, restraint of trade or anti-trust laws or regulations; or
- d. any breach of fiduciary duty owed by **you**.

Data reconstitution

- 24. any costs or loss associated with the reconstitution of your **data asset**, including but not limited to:
 - a. costs incurred after it has been established that **your data asset** cannot be replaced, restored or repaired, or access to it cannot be regained;
 - b. the economic value of **your data asset**, including the value of any trade secrets;
 - c. costs to restore, update, or replace **your data asset** to a level beyond that which existed prior to the event, unless **your data asset** can only be replaced, restored or repaired by purchasing a newer equivalent; or
 - d. costs to research or develop **your data asset** or to recreate, gather or assemble facts, concepts or information needed to reproduce **your data asset**.

Unlawful or irregular cyber extortion payments

- 25. any payment covered under **What is covered, A. Your own losses**, b. Cyber ransom losses if:
 - a. making the payment would be unlawful;
 - b. **you** have not made all reasonable efforts to determine that the **illegal threat** is genuine and not a hoax; or
 - c. the ransom was not paid under duress.

Biometric and genetic information

- 26. any actual or alleged failure to comply with any federal, state or local law of the United States of America or any federal, provincial, territorial or local law of Canada relating to the collection, processing, storage, or use of biometric data, biometric identifiers, biometric information, or genetic information, including, but not limited to the California Invasion of Privacy Act (CIPA), the Illinois Biometric Information Privacy Act (BIPA), the Texas Capture or Use of Biometric Identifier Act (CUBI), the Washington Biometric Identifiers Act, and the Genetic Information Privacy Act (GIPA) or any related, similar or successor legislation or regulation.

Operational error

- 27. any **interruption** caused by an **operational error** other than as provided for under the **operational error** business interruption extension.

Dependent business interruption

- 28. any **interruption** caused by a **dependent business** suffering a **security failure** or **cyber attack** other than as provided for under the **dependent business interruption** extension.
- B. **We** will also not make any payment under this section for:

Claims brought by a related party	1. any claim brought by any person or entity within the definition of you, any party with a financial, executive or managerial interest in you, including any parent company or any party in which you have a financial, executive or managerial interest or any employee. However, this exclusion does not apply to a claim covered under What is covered, C. Claims and investigations against you, 1. Privacy liability by employees or individuals within the definition of you.
Fines, penalties and sanctions	2. criminal, civil or regulatory sanctions, fines, penalties, disgorgement of profits, punitive damages, exemplary damages or multiple damages which you are legally obliged to pay, including but not limited to those imposed by any national or local governmental body or any licensing organisation. However, this exclusion does not apply to: PCI charges; or - any regulatory award.
Claims outside the applicable courts	3. any claim, privacy investigation or investigation brought or commenced outside the applicable courts. This applies to proceedings in the applicable courts to enforce, or which are based on, a judgment or award from outside the applicable courts.
Non-specific investigations	4. any privacy investigation or investigation arising from any routine regulatory supervision, inquiry or compliance review, any internal investigation or any investigation into the activities of your industry which is not solely related to any actual or alleged breach, violation or infringement of any right to privacy, consumer data protection law, or other legal protection for personal data by you.
Unauthorised tracking	5. any claim, loss or privacy investigation arising from, contributed to by, relating to, or in connection with any actual or alleged monitoring, tracking or profiling of: - an individual without that individual's authorisation; or - any computer system capable of storing personal data without authorisation, including, but not limited to, web-tracking, pixel tracking, session recording, digital fingerprinting, behavioural monitoring, eavesdropping, wiretapping or audio or video recording committed by you or a third party. C. In addition to the exclusions set out above, the following exclusions also apply to any loss, defence costs or public relations costs covered under What is Covered, D. Your losses from crime. We will not make any payment:
Trade secrets and confidential information	1. arising from the theft or misappropriation of any trade secret or other confidential information, other than where it is used to facilitate an otherwise covered loss.
Losses benefiting you or your owners	2. suffered by any entity within the definition of you to the benefit of any other entity within the definition of you, any of your shareholders or any entity or person who has any direct or indirect ownership or control rights over you.
Incidents after you become aware	3. arising: - from any act, breach or omission committed by any employee after any of your partners, directors, trustees, in-house counsel or senior management in actual control of your operations discovered any crime being committed by, or in collusion with, such employee; - from anything which you knew about or ought reasonably to have known about before the date on which you first purchased a similar crime policy from us that has run continuously without a break in cover; or - directly or indirectly due to any act, incident or event occurring, or any loss notified to any other policy of which this policy is a renewal or replacement.
Crime retroactive date	4. arising directly or indirectly due to any act, incident or event occurring, or any loss suffered before: - the crime retroactive date; or - the date of acquisition of any acquired entity.

Extortion or ransom	5. arising directly or indirectly due to extortion, kidnap or ransom of any kind, including but not limited to any ransomware payments.
Specific employee dishonesty	6. in respect of any crime which itself arises directly or indirectly due to any dishonest, fraudulent or malicious act of an employee acting alone or in collusion with others, other than loss of assets as a direct result of dishonesty of an employee .
Specific documents	7. involving any item which is or purports to be a traveller's cheque, traveller's letter of credit, bill of lading, shipping document, warehouse receipt, trust receipt, account receivable, or any other similar document or instrument unless such loss arises as a direct result of dishonesty of an employee or loss of assets .
Directors and officers	8. arising directly or indirectly due to any dishonest acts or omissions by any of your partners, directors, trustees, in-house counsel or senior management.
Unfamiliar languages	9. arising from any document , financial instrument or device that is fraudulently altered or which is counterfeit or a forgery unless it was in a form or language that was familiar to the individual that was deceived by it.
Property damage	10. arising from the loss , damage or destruction to or of any: - office, premises or real estate, including any fixtures and fittings; or money, property or securities held by you on behalf of your customer, other than loss of assets as a direct result of dishonesty of an employee.
Fire and explosion	11. arising from fire, explosion, implosion or collapse, other than loss of assets as a direct result of dishonesty of an employee .
Source documents	12. arising directly or indirectly due to you , or a third party on your behalf, having acted or relied on any electronic data that was created using a source document that has been fraudulently altered or which is counterfeit or a forgery , other than where arising as a direct result of dishonesty of an employee or loss of assets .
Use of payment cards	13. the use of any credit, debit, access, convenience, smart, identification or other cards of a similar nature. However, this does not apply where such loss arises as a direct result of covered dishonesty of an employee as a result of an employee's use of any credit or debit card issued to such employee by you for the payment of valid business expenses incurred for or on behalf of you .

How much we will pay	We will pay up to the overall limit of indemnity stated in your schedule for the total of all claims under each section or sections within What is covered, including all costs and expenses, unless limited below or otherwise in your schedule. Any claims or losses which arise out of the same breach, cyber attack, illegal threat or security failure will be regarded as one claim. This includes such claims and losses arising after, as well as during, the period of insurance. The amount we pay for a particular type of claim or loss may be further limited in your schedule.
Excess	You must pay the relevant excess stated in your schedule.
72-hour excess waiver	If you notify us within 72 hours of your first awareness of any actual or reasonably suspected breach, the excess will not apply against any losses suffered as a result of the breach. This waiver of excess does not apply to any claim under What is covered, B. Cyber business interruption or What is covered, D. Your losses from crime.
Overheads and business expenses	Any amounts to be paid by us shall not include or be calculated based on any of your overhead expenses, your liability for debt, taxes, lost costs or profits, salaries or wages ordinarily incurred in the performance of your business , your costs and expenses of preparing your claim, or any future cost of doing business, including but not limited to the cost of any future licence or royalty, or costs of improving your security or performing audits. However, this does not apply to any costs or expenses covered under What is covered, A. Your own losses , c. Cyber attack losses or What is covered, F. Additional covers , Repeat event mitigation.
Cyber business interruption	The amount we will pay for claims under What is covered, B. Cyber business interruption will be calculated in accordance with the following:
The interrupted period	1. For the purposes of Loss of income 2.a. and 2.b. and Daily interruption benefit 3. below, the interrupted period in respect of each interruption shall be the period that begins at the point when your waiting period or time excess ends until the earliest of:

	a. the relevant part or parts of your computer system no longer being continuously interrupted and materially impaired; or b. the indemnity period ending, provided that you have taken all reasonable steps to prevent or minimise the interruption to your business and/or the impairment to your computer system.
Loss of income	2. If your schedule states that your cyber business interruption cover is based on your loss of income and increased costs of working, we will pay the following: a. i. the difference between your actual income earned during the period calculated in accordance with The interrupted period 1. above and the income it is estimated you would have earned during that period; or ii. if the interruption occurs during your first trading year, the difference between your income earned during the period calculated in accordance with The interrupted period 1. above and the income you earned during the period immediately prior to the interruption, less any savings resulting from your reduced costs and expenses as a result of the interruption. b. your increased costs of working during the period calculated in accordance with The interrupted period 1. above; c. your termination losses calculated with reference to the difference between the income that you actually earned during the termination losses indemnity period and the income you would have earned during that period but for your customers' cancellation or non-renewal of their contract with you. We will deduct from any payment we make in respect of termination losses, any amount we are also liable to pay in respect of 2.a. loss of income above, where the loss of income arises from the same customer. d. if you have purchased cover for your additional increased costs of working, your additional increased costs of working up to the relevant sublimit stated in your schedule.
Business and customer trends	In calculating the amount we pay for your loss of income, we will make any adjustments necessary to account for any trends, variations or other circumstances that affected your business or that would have affected your business even if the interruption had not occurred. The amount we pay will not however include any loss of income arising from: a. an unwillingness on the part of any potential customer to purchase your goods or services following the interruption, unless you can demonstrate, with reference to a specific customer, that the customer refused to purchase your goods or services solely and directly due to the interruption; or b. any of your customers refusing to pay for goods or services provided by you prior to the interruption.
Daily interruption benefit	3. In respect of an interruption lasting longer than the applicable waiting period or time excess, we will pay you the daily interruption benefit for the period calculated in accordance with The interrupted period 1. above. The daily interruption benefit is specified in your schedule and is a daily loss amount.
Crime	Where we replace items which are covered under What is covered, D. Your losses from crime, we will pay the lesser of: 1. the cost price of the covered items to you; or 2. the trade market value of the covered items at the time of your loss.
Bricking	For physical damage to property covered under What is covered, E. Bricking, at our option we will cover the costs of repairing or replacing the unusable part, not including any data recovery costs. Where we pay the costs of replacing the unusable part, we will pay the lesser of: 1. the price you paid for the property; or 2. the trade market value of the property at the time of your loss.
Repeat event mitigation	The most we will pay under What is covered, F. Additional covers, Repeat event mitigation is 10% of the amount of the corresponding claim, loss or liability, or the amount stated in your schedule, whichever is lower. For the costs of upgrading software covered under What is covered, F. Additional covers, Repeat event mitigation, where any such upgrade requires the purchase of a software license, the most we will pay is the cost of a license for 12 months.

Any amount **we** pay under **What is covered, F. Additional covers**, Repeat event mitigation, is included within and not in addition to the corresponding limit of indemnity for the event that gave rise to the payment of such mitigation costs.

Directors' personal cover	Any amount we pay under What is covered, F. Additional covers , Directors' personal cover, is included within and not in addition to the overall limit of indemnity for the section within What is covered under which the claim or loss would have been covered if it were brought against, or suffered by, you .
Non-sterling losses	All sums payable under this section of the policy will be paid in Pounds Sterling. Where any amount under this policy has been suffered or incurred in a different currency, we will calculate the amount of our payment by reference to the relevant exchange rate on the day the loss was suffered or the cost or expense incurred. For the purposes of calculating such amounts, where listed, we will use the exchange rate published in the Financial Times on the day the loss was suffered or the cost or expense incurred (or the next day on which the Financial Times is published if it is not published on the day in question).
Value added tax	If you are accountable to the tax authorities for Value Added Tax, the amount we pay will be exclusive of such tax.
Paying out the limit of indemnity	At any stage of a claim, loss or other liability under this section, we can pay you the applicable limit of indemnity or what remains after any earlier payment from that limit. We will pay covered costs and expenses already incurred at the date of our payment. We will then have no further liability for that claim, loss or liability, including any costs or expenses.
Recoveries	Following a payment under this policy any recoveries will be made in the following order: 1. any costs and expenses incurred in relation to the recovery will be paid first; 2. any losses suffered by you in excess of the limit of indemnity will be paid second; 3. amounts paid by us under this section will be paid third; and 4. the excess will be reimbursed fourth.

Your obligations

If a problem arises	1. We will not make any payment under this section unless you notify us promptly within the period of insurance, or at the latest within 14 days after it expires for any problem you first become aware of in the seven days before expiry, of your first awareness of: a. any claim, loss or other liability under this section; or b. anything which is likely to give rise to a claim, loss or other liability under this section. If we accept your notification we will regard such claim, loss or other liability as notified to this insurance. You must not appoint any third party to assist with any covered claim, loss or liability without our prior written agreement.
In the event a crime is discovered	2. You must, at your expense, provide us with a detailed proof of loss setting out the precise nature of the crime and the loss claimed under this policy within six months of the crime being discovered. If you do not, we may reduce any payment we make under this section by an amount equal to the detriment we have suffered as a result.
If a business interruption loss is suffered	3. You must, at your expense, provide us with a detailed written proof of loss setting out the precise nature of the loss claimed under this policy. If you do not, we may reduce any payment we make under this section by an amount equal to the detriment we have suffered as a result.
Cyber extortion	4. We will not make any payment under What is covered, A. Your own losses, b. Cyber ransom losses unless: a. an individual within the definition of you agreed to the payment of the ransom or the surrender of the goods or services; b. you inform, or allow us to inform, the appropriate law enforcement authorities where any illegal threat was made; and c. you keep us fully informed as soon as possible of all developments concerning any illegal threat or ransom demand.
Cyber attack losses	5. If you suffer a loss under What is covered, A. Your own losses, you must take all reasonable steps to negotiate with the supplier of any services to reduce or waive any

charges relating to services that were not legitimately incurred for the purposes of **your business**. If **you** do not, **we** may reduce any payment **we** make under this section by an amount equal to the detriment **we** have suffered as a result.

- | | |
|-----------------------|---|
| Admissions and offers | 6. When dealing with any client or third-party, you must not admit that you are liable for what has happened or make any offer, deal or payment, unless you have our prior written agreement. If you do, we may reduce any payment we make under this section by an amount equal to the detriment we have suffered as a result. |
| Crime losses | 7. If you suffer a loss under What is covered, D. Your losses from crime , you must give us all assistance we reasonably require to pursue a recovery against your client, in your name but at our expense. |

Control of response and defence

- | | |
|-------------------------------------|--|
| Response and defence arrangements | <p>We have the right, but not the obligation, to take control of and conduct in your name, the investigation, settlement, mitigation or defence of any claim, loss, privacy investigation, or other liability.</p> <p>You must give us the information and co-operation which we may reasonably require and take all reasonable steps to mitigate or defend any claim, loss, privacy investigation, or other liability. You should not do anything which may prejudice our position.</p> |
| Appointment of legal representation | <p>We have the right, but not the obligation, to select and appoint an adjuster, lawyer, cyber security consultant, forensic investigator, PR consultant or any other appropriate person of our choosing to deal with the claim, loss, privacy investigation, or other liability.</p> <p>We will only pay defence costs, or any other covered costs or expenses where these have been incurred with our prior written consent, by a person or organisation appointed to support you with our prior written consent.</p> |
| Partially covered claims | <p>We will not pay any part of a claim, loss, privacy investigation, or other liability or any associated costs or expenses which are not covered by this section.</p> <p>If a claim, loss, privacy investigation, or other liability arises, which is not wholly covered by this section or is brought against you and any other party who is not covered under this section, then at the outset, we and you agree to use best efforts to determine a fair allocation of covered and non-covered parts of any claim, loss, privacy investigation, or other liability or associated costs and expenses, including defence costs on the basis of the relative legal and financial exposures.</p> |
| Advancement of defence costs | <p>We will pay defence costs and costs or expenses associated with a loss or any other liability covered by this section on an ongoing basis prior to the final resolution. However, we will not pay any defence costs, costs or expenses in connection with any claim, loss, privacy investigation, or other liability or partial claim, loss, privacy investigation, or other liability which is not covered under this section. You must reimburse us for any defence costs, costs or expenses paid where it is determined there is no entitlement under this section.</p> |
| Paying of full limit of indemnity | <p>We have no further duty to indemnify you against any claim, loss, privacy investigation, or other liability under this section where we pay you the applicable limit of indemnity as described in How much we will pay, Paying out the limit of indemnity, or if the overall limit of indemnity stated in your schedule has been exhausted.</p> |
| Payment of excess | <p>Our duty to make any payment under this section arises only after the applicable excess is fully paid. The excess will only be eroded by the covered parts of a claim, loss, privacy investigation, or other investigation.</p> |
| Disputes | <p>For the purposes of control of response and defence in this section of the policy, General condition 14, Arbitration, within the General terms and conditions is amended to read as follows:</p> <p>Any dispute as to whether to settle or to continue the defence or mitigation of a claim, loss or other liability or as to the fair allocation of any partially covered claim, loss, privacy investigation, or other liability and any associated costs or expenses, will be referred to a single King's Counsel (or equivalent in any other jurisdiction) to be mutually agreed or in the absence of such agreement to be nominated by the President of the Law Society of England and Wales. The opinion of such King's Counsel shall be binding on you and us in relation to matters referred under this clause. The costs of such opinion shall be met by us.</p> |

Legal protection

Policy wording

ARAG Legal Expenses Insurance Company Limited (**ARAG**) are the underwriters and provide the legal protection insurance under **your policy**.

ARAG Head and Registered Office: ARAG Legal Expenses Insurance Company Limited, Unit 4a, Greenway Court, Bedwas, Caerphilly CF83 8DW.

Registered in England and Wales, Company Number 103274.

Website: www.arag.co.uk

ARAG Legal Expenses Insurance Company Limited is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority (FRN202106) and the Prudential Regulation Authority.

To make sure that **you** get the most from **your ARAG** cover, please take time to read this section which explains the contract between **you** and **ARAG**. Please follow the procedures under employment compensation awards cover (insured incident **1.b.**).

How can ARAG help

How this section of **your policy** can help

Please find below information about the services that this section of **your policy** offers and details of how to make a claim.

If **you** wish to speak to **ARAG** about:

- legal advice – **you** can get telephone legal advice on any legal issue affecting **your business**;
- insurance claims – **you** can report a claim 24/7; or
- tax advice – dedicated tax advisers can provide advice on tax issues affecting **your business**.

Please phone **ARAG** on **0117 934 2111**. **ARAG** will ask **you** about **your** legal issue and if necessary call **you** back to deal with **your** query.

Online law guide and document drafting

You have access to **ARAG** Businesslaw as part of this section of **your policy**. **ARAG** Businesslaw is an online resource that provides vital business and legal support. It contains a range of regularly updated business and legal guides, document builders, interactive checklists and videos that can help **you** with the day-to-day running of **your business**, as well as helping **you** to manage **your** exposure to legal risk.

Visit **Hiscox.farill.io** and use the following voucher code to sign up: DASBHIX100

Reporting a claim

Important information

Please do not ask for help from a lawyer, accountant or anyone else before **ARAG** have agreed that **you** should do so. If **you** do, **ARAG** will not pay the costs involved even if **ARAG** accept the claim.

Report **your** claim

Call **ARAG** on **0117 934 2111**, available 24 hours-a-day, seven days-a-week; and have **your policy** number ready as **ARAG** will ask **you** for it before discussing **your** claim.

ARAG will assess the claim

- To check **your** claim is covered by this section of **your policy**; and
- if it is, **ARAG** will send it to a lawyer who specialises in **your** type of claim.

The lawyer will

Assess **your** case and tell **you** how likely it is **you** will win.

If **you** are more likely than not to win, the lawyer will

Manage the case from start to finish.

Please note this overview of the claims process is for guidance purposes only. **ARAG** claims handlers can answer any questions that **you** may have when they receive **your** claim, alternatively **you** can visit: claims.araginsurance.co.uk

Cover	This section will cover you (or where specified the insured person) in respect of any insured incident arising in connection with the business shown in the policy schedule if the premium has been paid. ARAG agree to provide the insurance in this section in accordance with the operative covers shown in the policy schedule as long as: 1. reasonable prospects exist for the duration of the claim; 2. the date of occurrence of the insured incident is: a. during the period of insurance; or b. during the currency of a previous equivalent legal expenses insurance policy, provided that: i. the previous legal expenses insurance policy required you to report claims during its currency; ii. you could not have notified a claim previously as you could not have reasonably been aware of the insured incident; iii. cover has been continuously maintained in force; iv. any claim reported under a previously operative legal expenses policy will not be covered by ARAG; and v. the available limit of indemnity shall be limited to the lesser of the sums payable under this or your previous policy; 3. any legal proceedings will be dealt with by a court, or other body which ARAG agree to, within the territorial limit; and 4. the insured incident happens within the territorial limit.
--------------	--

Special definitions for this section

Appointed representative	The preferred law firm , law firm, tax consultancy, accountant or other suitably qualified person that ARAG appoint to act on the insured person's behalf.
ARAG	ARAG Legal Expenses Insurance Company Limited.
ARAG standard terms of appointment	The terms and conditions (including the amount ARAG will pay to an appointed representative) that apply to the relevant type of claim, which could include a conditional fee agreement (no win, no fee). Where a law firm is acting on your behalf, the amount that ARAG will pay is currently £100 per hour. This amount may vary from time to time.
Costs and expenses	1. All reasonable, proportionate and necessary costs chargeable by the appointed representative and agreed by ARAG in accordance with the ARAG standard terms of appointment. 2. The costs incurred by opponents in civil cases if the insured person has been ordered to pay them, or the insured person pay them with ARAG's agreement.
Date of occurrence	1. For civil cases (other than as specified under 3 to 4 below), the date of the event that leads to a claim. If there is more than one event arising at different times from the same originating cause, the date of occurrence is the date of the first of these events. This is the date that the event happened, which may be before the date you or an insured person first became aware of it. 2. For criminal cases, the date the insured person began, or is alleged to have begun, to break the law. 3. For insured incident 5. Tax protection, the date of occurrence is when HM Revenue & Customs first notifies you of its intention to carry out an enquiry. For VAT or employer compliance disputes, the date the dispute arises during the period of insurance following the issue of an assessment, written decision or notice of a civil penalty. 4. For insured incident 2. Legal defence, 4. Statutory notice appeals, the date when the insured person is issued with the relevant notice and has the right to appeal.
Employer compliance dispute	A dispute with HM Revenue & Customs concerning your compliance with Pay As You Earn, Social Security, Construction Industry or IR35 legislation and regulations.

Insured person	You and the directors, partners, managers, employees and any other individuals declared to ARAG by you. This includes any person contracted to work for you who works for you on the same basis as your employees, and performs that work under your supervision and direction.
Preferred law firm	A law firm, barrister or tax expert that ARAG choose to provide legal or other services. These specialists are chosen as they have the proven expertise to deal with the insured person's claim and must comply with the ARAG agreed service standard levels, which ARAG audit regularly. They are appointed according to the ARAG standard terms of appointment .
Reasonable prospects	- For civil cases, the prospects that the insured person will recover losses or damages or a reduction in tax or National Insurance liabilities (or obtain any other legal remedy that ARAG have agreed to, including an enforcement of judgment) or make a successful defence, must be at least 51%. A preferred law firm or tax consultancy on ARAG's behalf, will assess whether there are reasonable prospects. - For criminal cases there is no requirement for there to be prospects of a successful outcome. - For all civil and criminal appeals the prospects of a successful outcome must be at least 51%.
Tax enquiry	A written notice of enquiry issued by HM Revenue & Customs to carry out an Income Tax or Corporation Tax compliance check which either: - includes a request to examine any aspect of your books and records; or - advises of a check of your whole tax return.
Territorial limit	For insured incidents 2. Legal defence (excluding 2.4), and 4. Personal injury: The United Kingdom of Great Britain and Northern Ireland, the European Union, the Isle of Man, the Channel Islands, Albania, Andorra, Bosnia Herzegovina, Gibraltar, Iceland, Liechtenstein, Macedonia, Monaco, Montenegro, Norway, San Marino, Serbia, Switzerland and Turkey. For all other insured incidents: The United Kingdom of Great Britain and Northern Ireland, the Isle of Man and the Channel Islands.
VAT dispute	A dispute with HM Revenue & Customs following the issue of an assessment, written decision or notice of a civil penalty relating to your VAT affairs.

Insured incidents ARAG will cover

1. Employment disputes and compensation awards

- | | |
|------------------------|--|
| a. Employment disputes | <p>Costs and expenses to defend your legal rights:</p> <ol style="list-style-type: none"> before the issue of legal proceedings in a court or tribunal: <ol style="list-style-type: none"> following the dismissal of an employee; or where an employee or ex-employee has contacted ACAS ('Advisory, Conciliation and Arbitration Service') to commence the Early Conciliation procedure; in unfair dismissal disputes under the ACAS Arbitration Scheme; or in legal proceedings in respect of any dispute relating to: <ol style="list-style-type: none"> a contract of employment with you; or an employee, prospective employee or ex-employee arising from an alleged breach of their statutory rights under employment legislation. |
|------------------------|--|

What is not covered

- A claim relating to any of the following:
- employee internal disciplinary or grievance procedures;
 - damages for personal injury;
 - pursuing **your** legal rights; or

4. transfer of business which falls within the scope of the Transfer of Undertakings (Protection of Employment) Regulations 2006 or the Transfer of Employment (Pension Protection) Regulations 2005, including any similar or successor legislation.

b. Compensation awards

In respect of a claim that **ARAG** have accepted under insured incident **1.a. Employment disputes**, **ARAG** will pay:

1. any basic and compensatory award; and/or
2. an order for compensation or damages following a breach of **your** statutory duties under employment legislation.

Provided that:

1. in cases relating to performance and/or conduct, **you** have throughout the employment dispute either:
 - a. followed the ACAS code of disciplinary and grievance procedures; or
 - b. followed equivalent codes of practice issued by the Labour Relations Agency in Northern Ireland; or
 - c. sought and followed advice from the **ARAG** legal advice service (telephone **0117 934 2111**).
2. for an order of compensation following **your** breach of statutory duty under employment legislation, **you** have at all times sought and followed advice from the **ARAG** legal advice service from the date that **you** should have known about the employment dispute (telephone **0117 934 2111**).
3. for any compensation award for redundancy or alleged redundancy or unfair selection for redundancy, **you** have sought and followed advice from the **ARAG** legal advice service before starting any redundancy process or procedures with employees (telephone **0117 934 2111**).
4. any sum of money in settlement of a dispute is awarded by a court, tribunal or through the ACAS Arbitration Scheme, under a judgment made after full argument and otherwise than by consent or default, or is payable under settlement approved in writing in advance by **ARAG**.
5. the total amount payable by **ARAG** for all compensation awards and any sums of money in settlement of a dispute, in aggregate and in any one **period of insurance**, shall not exceed £1,000,000.

What is not covered

1. Any compensation award relating to the following:
 - a. trade union activities, trade union membership or non-membership;
 - b. pregnancy or maternity rights, paternity, parental or adoption rights;
 - c. health and safety related dismissals brought under section 44 of the Employment Rights Act 1996; or
 - d. statutory rights in relation to trustees of occupational pension schemes.
2. Non-payment of money due under a contract.
3. Any award ordered because **you** have failed to provide relevant records to employees under the National Minimum Wage legislation.
4. A compensation award or increase in a compensation award relating to failure to comply with a current or previous recommendation made by a tribunal.
5. A settlement agreed and payable following conciliation under the ACAS Early Conciliation procedure.

c. Employee civil legal defence

At **your** request only, **costs and expenses** to defend an **insured person's** (other than **your**) legal rights if:

1. an event arising from their work leads to civil action being taken against them under legislation for unlawful discrimination; or
2. civil action is being taken against them as trustee of a pension fund set up for the benefit of **your** employees.

d. Service occupancy

Costs and expenses to recover possession of premises owned by **you**, or for which **you** are responsible, from **your** employees or ex-employees.

What is not covered

Any claim relating to defending **your** legal rights other than defending a counter-claim that is an insured incident under this section of **your policy**.

2. Legal defence

At **your** request, **costs and expenses** to defend the **insured person's** legal rights:

Criminal pre-proceedings cover	1. a. prior to the issue of legal proceedings when dealing with the: i. police; or ii. Health and Safety Executive and/or Local Authority Health and Safety Enforcement Officer; where it is alleged that the insured person has or may have committed a criminal offence; or
Criminal prosecution defence	b. following an event which leads to the insured person being prosecuted in a court of criminal jurisdiction; provided that for claims relating to the Health and Safety at Work etc Act 1974, the territorial limit shall be any place where the Act applies. Please note ARAG will only cover criminal investigations and/or prosecutions which arise in direct connection with the activities of the business shown in the schedule.
Data protection	2. if civil action is taken against the insured person for compensation under data protection legislation, when handling personal data in their capacity as a data controller and/or a data processor by: a. an individual. ARAG will also pay any compensation award in respect of such a claim; b. a data controller and/or data processor, which arises out of, or relates to, a claim made by an individual for compensation against that data controller and/or data processor. Please note ARAG will not pay any compensation award in respect of such a claim. Provided that in respect of 2.a. any sum of money in settlement of a dispute is awarded by a court under a judgment made after full argument and otherwise than by consent or default, or is payable under settlement approved in advance by ARAG. Please note ARAG will not cover the cost of fines imposed by the Information Commissioner, or any other regulatory and/or criminal body. Please see What is not covered by this section, 3.
Wrongful arrest	3. following civil action taken against the insured person for wrongful arrest in respect of an accusation of theft alleged to have been carried out during the period of insurance.
Statutory notice appeals	4. in appealing against the imposition or terms of any statutory notice issued under legislation affecting your business.
Jury service and court attendance	ARAG will pay you or an insured person the net salary or wages of such an insured person following their absence from work: a. to perform jury service; b. to attend any court, tribunal or at the request of the appointed representative. The maximum that ARAG will pay an insured person is the net salary or wages of such insured person for the time that they are absent from work less any amount you, the court or tribunal, have paid them. The maximum that ARAG will pay you is the net salary or wages that you have paid the insured person for that time, less any amount they have been paid by, or can recover from, the court or tribunal.

What is not covered

Criminal pre-proceedings cover	1. a. A claim relating to any criminal investigation or enquiry by, with or on behalf of HM Revenue & Customs; or b. a claim relating to investigations due to alleged infringement of road traffic laws or regulations in connection with the ownership, driving or use of a motor vehicle.
Criminal prosecution defence	2. A claim relating to prosecution due to alleged infringement of road traffic laws or regulations in connection with the ownership, driving or use of a motor vehicle.
Data protection	3. A claim relating to the following: a. the loss, alteration, corruption or distortion of, or damage to stored personal data; or b. a reduction in the functionality, availability, or operation of stored personal data;

resulting from unauthorised access, malicious or negligent transfer (electronic or otherwise) of a computer program that contains any malicious or damaging code, computer virus or similar mechanism.

Statutory notice appeals

4. A claim relating to the following:
 - a. an appeal against the imposition or terms of any statutory notice issued in connection with **your** licence, mandatory registration or British Standard Certificate of Registration;
 - b. a statutory notice issued by an **insured person's** regulatory or governing body; or
 - c. any appeal which does not follow, or is not eligible to follow, the appeals process set out in the legislation under which the relevant notice has been issued.

Jury service and court attendance

5. Any claim if **you** or the **insured person** are unable to prove the loss.

3. Property protection

Property damage and nuisance and trespass

Costs and expenses in any civil dispute relating to physical property which is owned by **you**, or **your** responsibility, following:

1. any event which causes physical damage to such physical property;
2. a legal nuisance (meaning any unlawful interference with **your** use or enjoyment of **your** land, or some right over, or in connection with it); or
3. a trespass.

Please note that **you** must have, or there must be **reasonable prospects** of establishing that **you** have, the legal ownership or right to the physical property that is the subject of the dispute.

What is not covered

Any claim relating to the following:

1. a contract entered into by **you** (please refer to insured incident **6. Contract disputes**);
2. physical property which is in transit or which is lent or hired out;
3. goods at premises other than those occupied by **you** unless the goods are at such premises for the purpose of installations or use in work to be carried out by **you**;
4. a dispute with any party other than the party who caused the physical damage, or who caused or suffered the legal nuisance or trespass;
5. defending **your** legal rights other than the defence of a counter-claim that is an insured incident under this section of **your policy**;
6. a motor vehicle owned or used by, or hired or leased to an **insured person** other than damage to motor vehicles where **you** are engaged in the business of selling motor vehicles; or
7. the enforcement of a covenant by or against **you**.

4. Personal injury

At **your** request, **ARAG** will pay **costs and expenses** for an **insured person's** and their family members' legal rights following a specific or sudden accident that causes the death of, or bodily injury to them.

What is not covered

Any claim relating to the following:

1. any illness or bodily injury which develops gradually;
2. psychological injury or mental illness unless the condition follows a specific or sudden accident that has caused physical bodily injury;
3. defending an **insured person's** or their family members' legal rights other than in defending a counter-claim; or
4. clinical negligence.

5. Tax protection

Costs and expenses for:

1. a **tax enquiry**;
2. an **employer compliance dispute**; or
3. a **VAT dispute**;

provided that:

- a. **you** have taken reasonable care to ensure that all returns are complete and correct and that such returns are submitted within the statutory time limits allowed; and

- b. **ARAG** will only cover tax claims which arise in direct connection with the activities of the **business** shown in the schedule.

What is not covered

- 1. Any claim relating to import or excise duties and import VAT.
- 2. Any claim arising from a tax avoidance scheme.
- 3. Any claim relating to any failure to register for Value Added Tax or Pay As You Earn.
- 4. Any claim arising from any investigation or enquiries undertaken by, with or on behalf of HM Revenue & Customs Special Investigations Section, Special Civil Investigations, Criminal Investigations Unit, Criminal Taxes Unit, under Public Notice 160 or by the Revenue and Customs Prosecution Office.
- 5. Any claim arising from any investigation or enquiry by HM Revenue & Customs into alleged dishonesty or alleged criminal offences.

6. Contract disputes

Costs and expenses in a contractual dispute with a party that **you** have a direct contractual relationship with arising from an agreement or an alleged agreement which has been entered into by **you** or on **your** behalf for the purchase, hire, sale or provision of goods or of services.

Provided that:

- 1. the amount in dispute exceeds £250 (including VAT);
- 2. if the amount in dispute exceeds £5,000 (including VAT), **you** must pay the first £500 of any claim. If **you** are using a **preferred law firm**, **you** will be asked to pay this within 21 days of **your** claim having been assessed as having **reasonable prospects**. If **you** are using **your** own law firm, this will be within 21 days of their appointment (following confirmation the claim has **reasonable prospects**). If **you** do not pay this amount the cover for **your** claim could be withdrawn;
- 3. if the amount in dispute is payable in instalments, the instalments due and payable at the time of making the claim must exceed £250 (including VAT); and
- 4. if the dispute relates to money owed to **you**, a claim under this section is made within 90 days of the money becoming due and payable.

What is not covered

- 1. Any dispute arising from an agreement entered into prior to the start of this section if the **date of occurrence** is within the first 90 days of the start of this section, unless equivalent legal expenses insurance was in force immediately before.
- 2. Any claim relating to the following:
 - a. a dispute relating to an insurance policy, other than when **your** insurer refuses **your** claim;
 - b. terms of a lease, licence or tenancy of land or buildings. However, **ARAG** will cover a dispute with a professional adviser in connection with these matters.
 - c. a loan, mortgage, pension, guarantee or any other financial product. However, **ARAG** will cover a dispute with a professional adviser in connection with these matters;
 - d. a motor vehicle owned by, or hired or leased to, **you** other than agreements relating to the sale of motor vehicles where **you** are engaged in the business of selling motor vehicles.
- 3. A dispute with an employee or ex-employee which arises out of, or relates to, a contract of employment with **you** (please refer to insured incident **1. Employment disputes and compensation awards**).
- 4. A dispute which arises out of the:
 - a. sale or provision of computer hardware, software, systems or services; or
 - b. the purchase or hire of computer hardware, software, systems or services tailored by a supplier to **your** own specification,other than agreements relating to the sale, provision, purchase or hire of computer hardware, software, systems or services where **you** are engaged in the business of selling or providing computer hardware, software, systems or services.
- 5. A dispute arising from a breach or alleged breach of professional duty by an **insured person**.
- 6. The recovery of money and interest due from another party other than disputes where the other party indicates that a defence exists.

7. Debt recovery

Costs and expenses, including enforcement of judgment to recover money and interest due, from the sale or provision of goods or services,

provided that:

1. the debt exceeds £250 (including VAT);
2. a claim for debt recovery under this section is made within 90 days of the money becoming due and payable; and
3. **ARAG** have the right to select the method of enforcement, or to forego enforcing judgment, if **ARAG** are not satisfied that there are, or will be, sufficient assets available to satisfy judgment.

What is not covered

1. Any debt arising from an agreement entered into prior to the start of this section if the debt is due within the first 90 days of the start of this section, unless equivalent legal expenses insurance was in force immediately before.
2. Any claim relating to the following:
 - a. the settlement payable under an insurance policy (**ARAG** will cover a dispute if an insurer refuses **your** claim but not for a dispute over the amount of a claim);
 - b. terms of a lease, licence or tenancy of land or buildings;
 - c. a loan, mortgage, pension, guarantee or any other financial product. However, **ARAG** will cover a dispute with a professional adviser in connection with these matters; or
 - d. a motor vehicle owned by, or hired or leased to, **you** other than agreements relating to the sale of motor vehicles where **you** are engaged in the business of selling motor vehicles.
3. A dispute which arises out of the sale or provision of computer hardware, software, systems or services, other than agreements relating to the sale or provision of computer hardware, software, systems or services where **you** are engaged in the business of selling or providing computer hardware, software, systems or services.
4. The recovery of money and interest due from another party where the other party indicates that a defence exists.
5. Any dispute which arises from debts **you** have purchased from a third-party.

What is not covered by this section

1. Any claim reported to **ARAG** more than 180 days after the date the **insured person** should have known about the insured incident.
2. **Costs and expenses** incurred without the expressed acceptance of a claim by **ARAG**.
3. Fines, penalties, compensation or damages which the **insured person** is ordered to pay by a court or other authority other than compensation awards as covered under insured incident 1. **Employment disputes and compensation awards** b. **Compensation awards** and 2. **Legal defence**.
4. Any claim relating to patents, copyrights, trademarks, merchandise marks, registered designs, intellectual property or secrecy and confidentiality agreements.
5. Any claim relating to rights under a franchise or agency agreement entered into by **you**.
6. Any wilful act or omission of an **insured person** deliberately intended to cause a claim under this section.
7. Any claim under this section of **your policy** for a dispute with **ARAG** or Hiscox. For disagreements with **ARAG** about the handling of a claim refer to **Conditions which apply to the whole section 8**.
8. Any claim relating to a shareholding or partnership share in the **business** shown in the **policy** schedule.
9. **Costs and expenses** arising from or relating to a judicial review, coroner's inquest or fatal accident inquiry.
10. Legal action an **insured person** takes which **ARAG** or the **appointed representative** have not agreed to or where the **insured person** does anything that hinders **ARAG** or the **appointed representative**.
11. When either at the commencement of or during the course of a claim, **you** are declared bankrupt or have filed a bankruptcy petition or winding-up petition, or have made an arrangement with **your** creditors, or have entered into a deed of arrangement or **you** are in liquidation or part or all of **your** affairs or property are in the care or control of a receiver or administrator.
12. Any claim where an **insured person** is not represented by a law firm, barrister or tax expert.

13. Any claim relating to written or verbal remarks that damage the **insured person's** reputation.
14. Any claim caused by, or contributed to by, or arising from:
 - a. ionising radiation or contamination by radioactivity from any nuclear fuel or from any nuclear waste from burning nuclear fuel;
 - b. the radioactive, toxic, explosive or other hazardous properties of any explosive nuclear assembly or nuclear part of it;
 - c. war, invasion, act of foreign enemy, hostilities (whether war is declared or not), civil war, rebellion, revolution, military force or coup, or any act of terrorism or alleged act of terrorism as defined by the Terrorism Act 2000; or
 - d. pressure waves caused by aircraft or any other airborne devices travelling at sonic or supersonic speeds.

How much ARAG will pay

ARAG will pay an **appointed representative**, on **your** behalf, **costs and expenses** incurred following an insured incident, and any compensation awards that **ARAG** have agreed to, however:

1. the most that **ARAG** will pay in respect of all claims resulting from one or more event arising at the same time or from the same originating cause, for **costs and expenses** and compensation awards claims, is shown as the limit in the **policy** schedule;
2. the most that **ARAG** will pay for the total of all compensation awards under insured incident **1. Employment disputes and compensation awards b. Compensation awards** in any one **period of insurance** shall not exceed £1,000,000;
3. the most that **ARAG** will pay in **costs and expenses** is no more than the amount that **ARAG** would have paid to a **preferred law firm** or tax consultancy. The amount that **ARAG** will pay a law firm (where acting on **your** behalf) is currently £100 per hour. This amount may vary from time to time;
4. in respect of an appeal or the defence of an appeal, **you** must tell **ARAG** as soon as possible and within the statutory time limits allowed that **you** want to appeal. Before **ARAG** pay the **costs and expenses** for appeals, **ARAG** must agree that **reasonable prospects** exist;
5. for an enforcement of judgment to recover money and interest due to **you** after a successful claim under this section of **your policy**, **ARAG** must agree that **reasonable prospects** exist;
6. where an award of damages is the only legal remedy to a dispute and the cost of pursuing legal action is likely to be more than any award of damages, the most that **ARAG** will pay in **costs and expenses** is the value of the likely award; and
7. in respect of insured incident **2. Legal defence, Jury service and court attendance** the maximum that **ARAG** will pay is the **insured person's** net salary or wages for the time that the **insured person** is attending court or tribunal, less any amount that **you**, the court or tribunal pays.

ARAG will not pay:

1. in the event of a claim, if **you** decide not to use the services of a **preferred law firm** or tax consultancy, **you** will be responsible for any costs that fall outside of the **ARAG standard terms of appointment** and these will not be paid by **ARAG**;
2. If **you** are registered for VAT, **ARAG** will not pay the VAT element of any **costs and expenses**; and
3. the first £500 (including VAT) of any claim under insured incident **6. Contract disputes** where the amount in dispute exceeds £5,000 (including VAT). If **you** are using a **preferred law firm**, **you** will be asked to pay this within 21 days of **your** claim having been assessed as having **reasonable prospects**. If **you** are using **your** own law firm, this will be within 21 days of their appointment (following confirmation **your** claim has **reasonable prospects**). If **you** do not pay this amount the cover for **your** claim could be withdrawn.

Conditions which apply to the whole section

1. a. On receiving a claim, if representation is necessary, **ARAG** will appoint a **preferred law firm** or tax consultancy as **your appointed representative** to deal with **your** claim. They will try to settle **your** claim by negotiation without having to go to court;
- b. If the appointed **preferred law firm** or tax consultancy cannot negotiate settlement of **your** claim and it is necessary to go to court and legal proceedings are issued or there is a conflict of interest, then **you** may, if **you** prefer, choose a law firm or tax

expert of **your** own choice to act as the **appointed representative**. **ARAG** will choose the **appointed representative** to represent **you** in any proceedings where **ARAG** are liable to pay a compensation award;

- c. If **you** choose a law firm as **your appointed representative** that is not a **preferred law firm** or tax consultancy, **ARAG** will give **you** choice of law firm the opportunity to act on the same terms as a **preferred law firm** or tax consultancy. However if they refuse to act on this basis, the most that **ARAG** will pay is the amount that **ARAG** would have paid if they had agreed to the **ARAG standard terms of appointment**. The amount that **ARAG** will pay a law firm, where acting on **your** behalf, is currently £100 per hour. This amount may vary from time to time;
 - d. The **appointed representative** must co-operate with **ARAG** at all times and must keep **ARAG** up to date with the progress of the claim.
2. **You and insured persons** must:
 - a. co-operate fully with **ARAG** and the **appointed representative**; and
 - b. give the **appointed representative** any information that **ARAG** ask them to.
 3.
 - a. **You and insured persons** must tell **ARAG** if anyone offers to settle a claim and must not negotiate or agree to any settlement without **ARAG's** expressed consent;
 - b. If **you** or an **insured person** do not accept a reasonable offer to settle a claim, then **ARAG** will not pay further **costs and expenses**;
 - c. **ARAG** may decide to pay **you** or an **insured person** the reasonable value of the claim that **you** or the **insured person** are claiming or is being claimed against them instead of starting or continuing legal action. In these circumstances **you** or the **insured person** must allow **ARAG** to take over and pursue or settle a claim in **your/their** name. **You and insured persons** must allow **ARAG** to pursue at **ARAG's** own expense and for **ARAG's** benefit, any claim for compensation against any other person and **you and insured persons** must give **ARAG** all the information and help **ARAG** need to do so.
 4.
 - a. **You or an insured person** must instruct the **appointed representative** to have **costs and expenses** taxed, assessed or audited if **ARAG** ask for this;
 - b. **You or an insured person** must take every step to recover **costs and expenses** and court attendance and jury service expenses that **ARAG** have to pay and must pay **ARAG** any amounts that are recovered.
 5. If the **appointed representative** refuses to continue acting for **you** or an **insured person** with good reason or if **you** or an **insured person** dismiss the **appointed representative** without good reason, the cover that **ARAG** provide will end at once, unless **ARAG** agree to appoint another **appointed representative**.
 6.
 - a. If **you** or an **insured person** settle a claim or withdraw **your/their** claim without **ARAG's** agreement, or do not give suitable instructions to the **appointed representative**, **ARAG** can withdraw cover and will be entitled to reclaim any **costs and expenses** that they have paid.
 - b. If during the course of a claim **reasonable prospects** no longer exist, then the cover that **ARAG** provide will end at once. **ARAG** will pay any **costs and expenses** and compensation awards that **ARAG** have agreed to, up to the date cover was withdrawn.
 7. If there is a disagreement between **you** or an **insured person** and **ARAG** on the merits of the claim or proceedings, or on a legal principle, **ARAG** may suggest that **you** or the **insured person** obtain at **your/their** own expense an opinion on the matter from an independent and appropriate expert. The expert must be approved in advance by **ARAG** and the cost expressly agreed in writing between **you/the insured person** and **ARAG**. Subject to this, **ARAG** will pay the cost of obtaining the opinion if the expert's opinion indicates that it is more likely than not that **you** or the **insured person** will recover damages or obtain any other legal remedy that **ARAG** have agreed to or make a successful defence. This does not affect the **insured person's** rights under Condition 8.
 8. If there is a disagreement about the handling of a claim and it is not resolved through **ARAG's** internal complaints procedure, the Financial Ombudsman Service may be able to help. This is a free arbitration service for eligible complaints. Details are available from www.financial-ombudsman.org.uk

If the dispute is not covered by the Financial Ombudsman Service, there is a separate arbitration process available. The arbitrator will be a jointly agreed barrister, solicitor or other suitably qualified person. If there is a disagreement over the choice of arbitrator, **ARAG** will ask the Chartered Institute of Arbitrators to decide. The arbitrator will decide

who will pay the costs of the arbitration. For example, costs may be split between the parties or one party may pay all the costs.

9. **You and insured persons** must:
 - a. keep to the terms and conditions of this section of the **policy**;
 - b. take reasonable steps to avoid and prevent claims;
 - c. take reasonable steps to avoid incurring unnecessary costs;
 - d. send everything **ARAG** ask for in writing, and
 - e. report to **ARAG** full and factual details of any claim as soon as possible and give **ARAG** any information that **ARAG** need.
10. This section of the **policy** is governed by the law that applies in the part of the United Kingdom, Channel Islands or Isle of Man where **your business** is registered.

If this is not specified, then the laws of England and Wales apply.

All Acts of Parliament mentioned in this section of the **policy** include equivalent laws in Scotland, Northern Ireland, the Isle of Man and the Channel Islands as appropriate.

Helpline services

ARAG provide these services 24 hours-a-day, seven days-a-week during the **period of insurance**. To help **ARAG** check and improve their service standards, **ARAG** may record all calls.

Commercial legal advice

ARAG will give **you** confidential legal advice over the phone on any commercial legal problem affecting **your business** under the laws of the United Kingdom of Great Britain and Northern Ireland, any European Union country, the Isle of Man, the Channel Islands, Switzerland and Norway.

Wherever possible the Legal Advice helpline aims to provide immediate advice from a qualified legal adviser. However, if this is not possible they will arrange to call **you** back at a time to suit **you**.

Advice on the laws of England and Wales can be provided 24 hours-a-day, 365 days-a-year. Beyond this jurisdiction, or for very specialist legal matters, **ARAG** will refer **you** to one of **ARAG's** specialist advisers. Specialist advice is provided 9am-5pm, Monday to Friday, excluding public and bank holidays. If calls are received outside of these times, **ARAG** will arrange to call **you** back.

Tax advice

ARAG will give **you** confidential advice over the phone on any tax matters affecting the **business**, under the laws of the United Kingdom. This service is provided 9am-5pm, Monday to Friday, excluding public and bank holidays. If calls are made outside these times, **ARAG** will arrange to call **you** back.

To contact the above services, phone **ARAG** on **0117 934 2111**.

Counselling service

ARAG will provide the **insured person** (and any members of their immediate family who permanently live with them) with a confidential counselling service over the phone if they are aged 18 or over, or aged between 16 and 18 and in full-time employment. This includes, where appropriate, onward referral to relevant voluntary and/or professional services. Any costs arising from the use of these referral services will not be paid by **ARAG**.

To contact the counselling helpline, phone **0117 934 2121**.

The counselling service helpline is open 24 hours-a-day, seven days-a-week.

The employment manual

The ARAG Employment Manual offers comprehensive, up to date guidance on employment law.

To view it, please visit www.arag.co.uk/customer/business-legal-expenses-insurance/employment-manual/

If **you** would like notifications of when updates are made to the employment manual, please email **ARAG** at employmentmanual@arag.co.uk quoting **your policy** number.

ARAG Businesslaw

What is ARAG Businesslaw?

ARAG Businesslaw contains a range of regularly updated business and legal guides, document builders, interactive checklists and videos that can help **you** with the day-to-day running of **your business**, as well as helping **you** to manage its exposure to legal risk.

ARAG Businesslaw's document builders can help **you** quickly create documents such as:

- HR policies;
- terms and conditions documentation;
- privacy statements;
- copyright and trademark licences;
- data protection policy;
- employee contracts;
- debt recovery letters.

In addition, ARAG Businesslaw contains hundreds of regularly updated expert guides and videos on topics such as branding, crowdfunding, financial and tax planning, and marketing strategy to help build and grow **your business**.

How do I get started?

1. Visit **Hiscox.farill.io**
2. Enter DASBHX100 into the 'voucher code' text box and press validate voucher.
3. Fill out **your** name and email address, create a password, and specify what type of **business you** have.
4. Validate **your** email address by pressing the link in the confirmation email that **you** receive.

ARAG will not accept responsibility if the helpline services are unavailable for reasons **ARAG** cannot control.

Privacy

When you purchase and use an ARAG product we will process personal information about you and anyone else whose details are provided to us to provide you with a service or a claim. We process your personal information in accordance with our Privacy Notice. You can find our Privacy Notice online at www.arag.co.uk/privacy. Alternatively you can make a request for a printed copy to be sent to you by contacting dataprotection@arag.co.uk

How to make a complaint

ARAG always aim to give you a high-quality service. If you think **ARAG** have let you down, you can contact **ARAG** by:

- phoning: **0344 893 9013**
- emailing: **customer-relations@arag.co.uk**
- writing to: **Customer Relations Department**
ARAG Legal Expenses Insurance Company Limited
Unit 4a
Greenway Court
Bedwas,
Caerphilly CF83 8DW

- completing **ARAG'S** online complaint form at: **www.arag.co.uk/complaints**

Further details of the **ARAG** internal complaint-handling procedures are available on request.

If you are not happy with the complaint outcome or if **ARAG** have been unable to respond to your complaint within eight weeks, you may be able to contact the Financial Ombudsman Service for help. This is a free arbitration service for eligible complaints. Details are available from www.financial-ombudsman.org.uk

You can contact them by:

- phoning: **0800 023 4567** (free from mobile phones and landlines) or **0300 123 9123**
- emailing: **complaint.info@financial-ombudsman.org.uk**
- writing to: **The Financial Ombudsman Service**
Exchange Tower
London E14 9SR

Further information is available on their website: www.financial-ombudsman.org.uk

Using this service does not affect your right to take legal action.

Crisis containment

Policy wording

The General terms and conditions and the following terms and conditions all apply to this section.

Special definitions for this section

Crisis	A time of severe difficulty in your activities or danger to your business as a result of an insured incident that could, if left unmanaged, cause adverse or negative publicity of or media attention to you or your business .
Crisis containment costs	Reasonable and necessary costs incurred in utilising the services of the crisis containment provider to limit or mitigate the impact of a crisis .
Crisis containment provider	The person or company named in the schedule.
Insured incident	An incident, act or problem that in your good faith opinion could potentially give rise to a covered claim being made by you under any other section of this policy .
Working hours	The hours between 09:00 and 17:00 on any day other than Saturday, Sunday or a public holiday.

What is covered

Crisis containment costs	We will pay crisis containment costs incurred within the geographical limits with our prior written consent as a direct result of a crisis commencing during the period of insurance .
Outside working hours discretionary crisis mitigation costs	We will also pay crisis containment costs incurred within the geographical limits without our consent in carrying out immediate work outside of working hours to limit or mitigate the impact of the crisis . Any such work done by the crisis containment provider will not be confirmation of cover under this or any other section of this policy .

What is not covered

We will not make any payment for:

1. **crisis containment costs** relating to any claim or part of a claim not covered by this **policy**.
2. **crisis containment costs** relating to any:
 - a. claim under any **Management liability – Employment practices liability** section;
 - b. employment claim under any **Management liability – Directors and officers** section or **Management liability - Trustees and individual liability** section.
3. costs which are covered under any other section of this **policy**.
4. any **crisis containment costs** directly or indirectly due to:
 - a. any incident, act, investigation or problem that affects **your** profession or industry; or
 - b. governmental regulations which affect another country or **your** profession or industry; or
 - c. any sanction, prohibition or restriction under United Nations resolutions or trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America; or
 - d. socioeconomic changes or business trends which affect **your business** or **your** profession or industry.

How much we will pay

The most **we** will pay under this section is the amount shown in the schedule, irrespective of the number of **crises** or **insured incidents**. **We** will pay the **crisis containment provider** directly for **crisis containment costs** covered under this section of the **policy**.

All **crises** arising from the same original cause, a single source or a repeated or continuing problem will be regarded as one **crisis**. This includes such **crises** arising after, as well as during, the **period of insurance**.

Your obligations

We will not make any payment under this section unless **you** notify any **crisis** in accordance with either of the following:

If a crisis arises during working hours

1. If **you** first become aware of the **crisis** during **working hours** **you** must notify **us** of it immediately by phoning **us** on the number stated in the schedule.

We will then determine if the incident, act or problem that **you** have notified would give rise to a covered claim under any other section of this **policy**. If **we** determine this to be the case then **we** will contact the **crisis containment provider** to assist **you** in the management of the **crisis**.

If **we** determine that the incident, act or problem that **you** have notified would not result in a covered claim under any other section of this **policy** then **we** will not make any payment under this section.

You must co-operate fully with **us**, the **crisis containment provider** and any of **our** representatives in the management of the **crisis**.

If a crisis arises outside of working hours

2. If **you** first become aware of the **crisis** outside of **working hours** **you** must notify the **crisis containment provider** immediately by phoning them on the number stated in the schedule. **You** must also notify **us** of the **crisis** as soon as possible within **working hours** by telephoning the number stated in the schedule.

You must co-operate fully with the **crisis containment provider** in the management of the **crisis**.